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Toing: Swiggy's ₹99 Problem

A Board recommendation on Toing: keep it, but stop paying for ₹99 trips

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0. Document control

Answer. This document is the evidence file behind Team IdeaForge's Board recommendation on Toing: keep Toing but stop paying for ₹99 trips, rebuild it around pooled Drops and slot batching, and grow it only where the trip pays for itself. Every number carries a tag that says where it came from, the case governs every fact about Swiggy, and every figure that Swiggy has not published is an estimate with its working shown. Sections 0 to 5 set out the case, the answer, the situation, the precedents and today's unit economics; later sections build the levers, the funnel test, the options and the risks.

0.1 Tag legend

Each number in the text is followed by one tag. A reader can therefore separate what the case states, what a public source says, what the team assumed and what the model computed.

Tag	Meaning	Example	Where to check it
[C##]	Fact stated in the case text (C01 to C14)	Core AOV about ₹700 `C04`	`case/01-nsbc-toing-case.md`
[S##]	Public source in the register (S01 to S15)	Platform Innovations adjusted EBITDA −₹131 Cr `S01`	Appendix bibliography
`F: SW01`	Raw-fact row in the research files (SW, CR, EC prefixes)	33M weekly users `F: SW17`	`research/raw/R-A`, `R-B`, `R-C`
[A##]	Team assumption, listed with its basis in section 5.5	Rider pay ₹40 an order `A05`	`model/toing_model.py` comments
`M`	Output of the model at base inputs	Contribution −₹27.33 an order `M`	`model/model_tables.md`
`Est`	Estimate triangulated from public data plus assumptions	Toing loss about ₹81 Cr a quarter `Est`	Section 6

0.2 Source hierarchy

The case sets the rule in its own guideline G4: facts about the company come only from the case, and outside market data is welcome if cited [C: G4]. We read that rule as a hierarchy with four tiers.

Tier	What it governs	Rule in this document	Example
1. The case	Every fact about Swiggy and Toing	Used as stated, even where public data differ	Core AOV ₹700, adjusted EBITDA 3.1% of GOV `C04, C05`
2. Swiggy's public disclosures	Decomposition only	Used to split or triangulate a case fact, labelled `Est` where we derive from them	Platform Innovations loss ₹131 Cr `S01` used to size Toing's share
3. Outside data	Competitors, regulation, market anchors	Cited with a source ID and a confidence note	Rapido Ownly ₹30 fee `S08`; Karnataka fee cap ₹0.50 `S09`
4. Team assumptions	Anything Swiggy has not published	Numbered A01 to A44, with basis, range and a stress test	Toing commission 12% `A02`

Where tiers 1 and 2 disagree we keep the case figure and say so. The one material disagreement is core AOV: the case says about ₹700, while Swiggy's Q1 FY27 letter implies about ₹500 (₹9,490 Cr of food GOV over roughly 188M orders) F: EC05. Section 5.6 shows that the answer survives at ₹500.

0.3 Model version

Item	Value
Model file	`nsbc-case/model/toing_model.py`, single source of truth for every M figure
Run date	29 September 2026
Outputs	`model/model_outputs.json`, `model/model_tables.md`
Inputs	44 numbered assumptions, A01 to A44, all listed in the model file with their basis
Base scenario	Three years from October 2026, in ₹ Cr, with bear and bull cases beside it
Stress tests	Nine inputs varied over five values each, seven flip points, a seven-driver tornado
Prelims deadline	30 September 2026, 11:59 PM [C: Format]

The model has no hidden inputs. If a number in this document cannot be traced to a tag, that is a defect and should be read as one.

0.4 Honest limits

The case tells the Board that Toing is "a small business inside a large one" and that the strategy team is expected to estimate its metrics and show its work [C: Rules]. These are the places where our work is weakest.

#	Limit	Consequence	How we handle it
1	Swiggy has not published Toing's order count, AOV, commission or rider payout F: EC gaps	Every Toing unit figure is modelled	Assumptions A01 to A12, each stress tested in section 15
2	Platform Innovations mixes Toing with Snacc, Crew and Minis F: SW06	Toing's ₹81 Cr quarterly loss is our split, not a disclosure	Labelled Est; the split assumes ₹50 Cr of non-Toing loss A12
3	The case's ₹700 core AOV is higher than the roughly ₹500 the letter implies	Core EBITDA per order could be ₹15.5 rather than ₹21.7	Case figure kept; both shown in section 5.6
4	No fieldwork was run; behavioural shares are assumptions tested across their ranges	Drop take-up, trade-down and migration rest on judgment, not measurement	Section 10 gives the range tested for each and the four-city test Swiggy would run to replace it
5	Several competitor and pay facts rest on search snippets F: CR01, CR06, CR11, CR12	Lower confidence on those rows	Marked in the register; none carries a headline number
6	The three-year paths use assumed volume ramps A37 to A41	Totals move with volume, not only with unit economics	Bear and bull runs, and flip points, shown in section 11 and section 15
7	Rebuild beats Kill by only ₹41 Cr over three years in the base case M	The money alone does not decide between them	Said plainly in section 2; the case for Rebuild is optionality and the customer

#	Limit	Consequence	How we handle it
8	Dunzo, Snacc and Everyday are read from public statements, not from their books	Precedents show a pattern, not a proof	Section 4 states what each precedent does and does not show

1. Case coverage matrix

Answer. All 19 requirements the case sets are answered, each in a named section and on a named slide. The five Board expectations (B1 to B5) get a full section each, the four options (O1 to O4) are scored on one common set of tests, and the judging criteria (J1 to J5) and rules (R1 to R4) are mapped to the place where a judge can verify them. Insight (J3) rests on public data and the model: the trip-cost thesis, the density breakeven and the funnel identity, triangulated against Swiggy's own segment figures, with no fieldwork run.

1.1 Board expectations, options, judging criteria, rules

Slide numbers refer to the 11-slide prelims deck: 1 cover, 2 summary, 3 unit math, 4 customer, 5 levers, 6 options and funnel, 7 the call, 8 rivals and rules, 9 signals and roadmap, 10 appendix, 11 thank-you.

ID	Requirement	One-line answer	Document section	Slide
B1	Per-order unit economics today, every assumption sourced	A ₹99 order: customer pays ₹115.95, restaurant keeps about ₹84, rider costs ₹40, Swiggy is left with −₹27.33 of contribution M	5	3
B2	Levers, size of each, who controls it	Seven levers take the order from −₹27.3 to +₹5.7; Swiggy controls batching, coupons and door-fee timing, restaurants control menus and ads, customers decide Drops, the door fee and the pass M	7, 8	5
B3	Funnel: migration share, period, comparison with paid CAC	A Toing user costs about ₹451 in 12 months; payback on the case's lens needs 135% migration, the LTV lens needs 25% against a likely 15%; cost per migrated user is 9.0 times paid CAC M	9	6
B4	Competitive reading and Eternal's likely response	Eternal holds back and copies the Drop idea through pods and Gold thresholds; Rapido Ownly is the sharper threat F: CR03, CR04, CR07	13	8
B5	What would change our mind, 12-month signals	Six flip points (rider cost ₹42.4, 5.5 meals a run, 26% trade-down, 10.8% commission, ₹16.6 door fee, ₹10.5 customer fees), read at months 3, 6 and 12 M	15	9
O1	Scale	Three-year base result −₹1,744 Cr M ; rejected	11	6, 7
O2	Funnel	−₹1,140 Cr on the CAC credit, −₹950 Cr on the LTV credit M ; rejected	9, 11	6
O3	Kill	−₹40 Cr M ; the fallback if the month-6 gate fails	11, 12	6, 7
O4	Hybrid or fourth path	Rebuild: +₹1 Cr base, +₹3 Cr expected with the gate M ; the primary recommendation	12	2, 7

ID	Requirement	One-line answer	Document section	Slide
J1	Unit economics: rigour, transparency, realism (30%)	Full order stacks at ₹99, ₹149 and ₹700, 44 numbered assumptions, a tornado and flip points	5, 7, 15	3, 10
J2	Decision quality: one recommendation, weighed honestly (25%)	One call, five tests on four options, and a plain statement that Rebuild beats Kill by only ₹41 Cr	2, 11, 12	2, 6, 7
J3	Insight, primary research counts (20%)	Insight from public data and our model: trip cost, density breakeven, funnel identity, triangulated loss; no fieldwork run (section 10)	4, 8, 10	4, 7
J4	Competitive and regulatory reading (15%)	Game tree for Eternal; labour codes and Karnataka add 0.4 to 0.9% of a ₹99 basket M	13, 14	8
J5	Communication (10%)	Action titles with a number, one moneyshot, one page per Board question	2, 18	2 to 11
R1	Public information only	No approach to Swiggy or Eternal staff; sources S01 to S15 are public	0.2	10
R2	Primary research with sample size and method	Insight from public data and our model: trip cost, density breakeven, funnel identity, triangulated loss; no fieldwork run (section 10)	10	4, 10
R3	Assumptions allowed if stated	A01 to A44, each with basis and range	5.5, Appendix	3, 10
R4	Estimate internal metrics, show the work	Toing orders, loss split and unit stack estimated step by step	5, 6	3, 10
G4	Company facts only from the case	Case figures kept; public disclosures used only to decompose, labelled Est	0.2	10

1.2 How to read the matrix

Two rows deserve a note. First, B5 asks for "two or three assumptions" that flip the answer. We give six flip points because the model produces them at no extra cost, but three of them (rider cost, meals per run and trade-down) are the ones a Board should watch, since each sits within about 6% to 45% of its assumed value. Second, J3 is the row with the most exposure: the case says insight from primary research "counts here" [C: Metric for judgement], and this document earns that credit from public data and the model rather than fieldwork. Section 10 sets out what was used, what public data cannot show, and how Swiggy would close that gap in its first 90 days.

2. The answer in one page: keep Toing, but stop paying for ₹99 trips

Answer. Keep Toing but stop paying for ₹99 trips: rebuild it around pooled Drops and slot batching, and grow it only where the trip pays for itself. Today a ₹99 order loses ₹27.33 before any marketing M, because a rider is paid about ₹40 for a trip that a ₹700 dinner would fund at ₹42 A05, A13. Scaling Toing as it runs

costs ₹1,744 Cr over three years, the funnel costs ₹950 Cr to ₹1,140 Cr, a shutdown costs ₹40 Cr, and the rebuild returns about ₹1 Cr with a gate at month 6 that turns a failed test into a clean shutdown M.

2.1 The thesis in the case's first line

The case opens with the fact that a delivery partner is paid roughly the same to carry a ₹79 thali across Pune as a ₹700 family dinner across Bengaluru, and calls that "the whole case" C01. We take it literally. Price is what the customer sees, but the loss sits in the trip. Rider pay is 40.4% of a ₹99 item total and 6.0% of a ₹700 order M. Swiggy's take rate is almost the same on both: ₹23.04 on ₹99 is 23.3%, and ₹166.34 on ₹700 is 23.8% M. The percentage is right; the rupee amount is not enough to pay for a trip that costs the same.

That reading points to a different remedy from the two the Board has heard. Management's reach strategy tries to add orders; analysts and Eternal say shut the app. Both treat the ₹99 price as the fault. If the fault is the trip, the fix is to change how the trip is made: carry ten meals in one run to a pickup point (a Drop) instead of one meal to one door, and charge for the door when a customer wants one.

2.2 The numbers that carry the argument

Question	Answer	Tag
Contribution per ₹99 Toing order today	−₹27.33	M
Contribution per ₹700 core order	+₹53.2	M
Adjusted EBITDA per ₹700 core order (3.1% of GOV)	₹21.7	C05, M
Core orders whose EBITDA one Toing order erases	1.26	M
Toing's estimated loss a quarter	about ₹81 Cr, roughly two-thirds in orders and one-third in installs	Est
Toing's estimated orders a day	about 2.4 lakh	Est
Contribution per order after seven levers	+₹5.7 (Drop order +₹7.2, door order +₹4.3)	M
Meals per Drop run at breakeven	3.3	M
Rider earnings an hour, solo versus Drop runs	about ₹80 versus about ₹125	M
Cost of a Toing user over 12 months	about ₹451	M
Cost per incremental migrated user against paid CAC	about ₹4,485, 9.0 times ₹500	M

2.3 Four options on the same three-year base case

Option	Y1	Y2	Y3	Three-year total, ₹ Cr	Verdict
O1 Scale as it runs	−514	−588	−642	−1,744	Losses grow with volume
O2 Funnel (CAC credit)	−380	−380	−380	−1,140	Needs 135% migration to pay back

Option	Y1	Y2	Y3	Three-year total, ₹ Cr	Verdict
O2 Funnel (LTV credit)	−317	−317	−317	−950	Needs 25% against a likely 15%
O3 Kill	−88	24	24	−40	Cheap exit, gives up the customer
O4 Rebuild, the recommendation	−56	17	39	+1	Barely positive, with upside
O4 Rebuild if the month-6 gate fails	−41	24	24	+7	Falls back to the Kill path

All figures are M, in ₹ Cr, base case, three years from October 2026. Rebuild carries a bear case of −₹121 Cr and a bull case of +₹135 Cr; the expected value with a 60% chance of passing the density gate is +₹3 Cr A42, M.

2.4 The moneyshot: a ₹1,745 Cr gap

The distance between rebuilding Toing and scaling it as it runs is ₹1,745 Cr over three years M. Most of it is not a matter of forecasting skill; it is the order loss that Scale keeps paying and Rebuild stops.

Component of the gap (Rebuild versus Scale, base)	₹ Cr	Share of gap
Order losses avoided	1,200	69%
Paid installs avoided	390	22%
Trade-down avoided (₹700 orders that turn into small orders)	178	10%
Overhead avoided	15	1%
Migration credit given up (fewer users to migrate)	−39	−2%
Total	1,745	100%

Shares are rounded and sum to about 100%. The rebuild wins by a very large margin against Scale and by a small one against Kill, and both statements are true.

2.5 What we are not claiming

Rebuild beats Kill by ₹41 Cr over three years, from −₹40 Cr to +₹1 Cr M. On money alone that is a rounding difference, and the flip points below show how easily it can reverse. We do not hide this. The case for Rebuild over Kill rests on three things that the three-year cash line does not price. Toing brings in 2 in 3 of its new users as new or dormant on the platform F: SW07. It reaches 33M weekly users F: SW17. And it acts as a fence: a cheap separate offer that pays for its own trip halves the trade-down of ₹700 orders into small orders inside the core app, worth ₹178 Cr in the gap above [A: trade-down inputs, M].

The month-6 gate is what makes the choice defensible. If density fails, Swiggy shuts Toing having spent about ₹41 Cr in the transition year rather than ₹88 Cr, and the result is +₹7 Cr against −₹40 Cr M. The rebuild's downside is capped near the Kill line; its upside is not.

2.6 What the Board is asked to approve

When	Decision	What it costs or earns
Within 30 days	Introduce a ₹20 door fee outside Drops, start slot batching, cut coupons from ₹4 to ₹2, freeze paid installs	Batching (+₹7.2), the door fee (+₹8.3) and fewer coupons (+₹2.0) are the levers Swiggy can start alone; the bridge sizes them in sequence M
Within 90 days	Open 40 pilot Drop sites (hostel gates, PG lobbies, office desks) in four cities	Tests whether runs reach at least 5.5 meals M
Month 3 and month 6	Two gates on density and cost per order	Failure triggers the clean shutdown
Month 12	Scale only in cities where contribution per order is positive	Growth is earned by the trip paying for itself

The three flip points closest to the base case are rider cost per solo trip (₹42.4 against ₹40), trade-down (26% against 20%) and commission (10.8% against 12% plus a 3-point uplift) M. Section 15 sets out how Swiggy would learn each one within 3, 6 and 12 months.

3. The situation: a ₹99 order is carried by a trip priced for a ₹700 order

Answer. Toing sells a meal at ₹49 to ₹150 through a delivery system whose cost per trip does not fall with the basket. On our model a ₹99 order brings Swiggy ₹23.04 of revenue against ₹50.37 of variable cost, and ₹40 of that cost is the rider M. The public record says Toing is growing fast (33M weekly users, about 50 cities) while its parent segment lost ₹131 Cr in one quarter, so the question is no longer whether the app has customers but who pays for their trips F: SW17, SW07, SW06.

3.1 What the case establishes

ID	Case fact	Why it matters for the answer
C01	A delivery partner is paid roughly the same for a ₹79 thali as for a ₹700 dinner	Trip cost is per order, not per rupee of basket
C02, C03	Toing launched in August 2025, meals ₹49 to ₹150, students and young earners, starting in Pune; the logic was volume and compact menus	The customer is price-bound and orders often
C04	Core AOV about ₹700	Sets the funding capacity of a normal trip
C05	Core adjusted EBITDA about 3.1% of GOV	Sets the margin a Toing loss must be measured against
C06, C07	Rider payouts, insurance and payment processing are largely fixed per order; at ₹99 Swiggy's take "does not come close"	Small baskets carry the same cost stack
C08, C09	Snacc launched January 2025 and was wound down within about a year; it was a speed bet, Toing a price bet	The precedent is close but not exact, and the case asks for a position

ID	Case fact	Why it matters for the answer
C10, C11	Eternal has not launched a rival; it shut Zomato Everyday (₹89) and Zomato Quick in May 2025	Eternal has been here and left
C12, C13	Code on Social Security from 21 November 2025, 1 to 2% of turnover capped at 5% of worker pay; Karnataka per-transaction fee	Cost line rises, though modestly (section 14)
C14	Swiggy listed in November 2024 on a path to profitability	Shareholders read the loss in the same quarter as the guidance

The case's own summary of the arithmetic is worth quoting: at ₹700, "Swiggy's take covers them with a thin margin to spare. At ₹99, it does not come close" C07.

3.2 Where the ₹115.95 goes

Our model traces one ₹99 Toing order end to end. The customer pays the item, 5% GST on food, and a ₹12 platform fee that includes 18% GST; there is no delivery or packaging fee A03, F: SW16.

Recipient	₹ per order	Share of customer's ₹115.95	Composition
Restaurant keeps	83.99	72.4%	Item ₹99 less 12% commission (₹11.88), GST on commission (₹2.14) and ads (₹0.99) A02, A04
Government (GST)	8.92	7.7%	Food GST ₹4.95, GST inside the fee ₹1.83, GST on commission ₹2.14
Swiggy revenue	23.04	19.9%	Commission ₹11.88, net platform fee ₹10.17, ads ₹0.99
Total	115.95	100%	Customer pays item ₹99, food GST ₹4.95, fee ₹12

All figures are M. Swiggy's ₹23.04 must then pay for the trip and everything else.

Swiggy cost line	₹ per order	Basis
Rider payout incl. incentives	40.00	A05, base pay ₹20 to ₹35 plus distance F: CR11
Rider insurance	1.00	A06
CoSS contribution	0.35	1.5% of revenue, within the 5% cap C12
Payment processing	1.04	0.9% of customer-paid total A07
Support and refunds	2.98	₹1.50 plus 1.5% of item A08
Platform-funded discount	4.00	A09
Tech (maps, SMS, cloud)	1.00	A10
Total variable cost	50.37	
Contribution	−27.33	Revenue ₹23.04 less cost ₹50.37

3.3 Issue tree: why a ₹99 order loses money

The tree below splits the loss of ₹27.33 into branches that do not overlap and together cover it. Each leaf carries its rupee value and the lever, if any, that acts on it.

Branch	Leaf	₹ per order	Cause	Lever (section)
A. Revenue is too small	A1 Commission	11.88	12% of ₹99, against 20% of ₹614.5 (₹122.9) on a core order	Fixed menus and kitchen partners, +3 points (7)
	A2 Platform fee	10.17	Flat ₹12 fee, ₹15 on the main app F: SW16	Kept; door fee added outside Drops (7)
	A3 Advertising	0.99	1% ad load on a new app	Ad load to 2.5% (7)
	A4 Delivery fee	0.00	None charged; core order nets ₹12.29	Door fee ₹20 outside Drops (7)
B. The trip costs too much	B1 Rider payout	40.00	A solo trip costs the same as on a ₹700 order	Slot batching, pooled Drops (7, 8)
	B2 Trip-linked items	1.35	Insurance ₹1.00 and CoSS ₹0.35	Spread across Drop runs
C. Order-linked costs are not covered	C1 Discounts	4.00	Coupons to acquire users	Fewer coupons (7)
	C2 Support, refunds, payments, tech	5.02	Fixed ₹1.50 plus percentages	Lower refund rate with fixed menus (7)

Taken together, branch B is ₹41.35 of the ₹50.37 cost, so 82% of what Swiggy pays out per order is the trip M. Branch A is a revenue gap of about ₹143 against a core order, and no plausible price change on ₹99 closes it. The tree therefore gives the same answer as the case's first line: the problem is the trip.

A useful test is how far basket size alone would get. Holding Toing's own terms fixed, our model's contribution per order is −₹27.33 at ₹99, −₹22.15 at ₹149 (the top of the band), −₹6.51 at ₹300, and it crosses zero near ₹363 M. A model that needs a basket two and a half times the top of the price band is not fixed by growth inside the ₹49 to ₹150 range.

3.4 Porter's Five Forces on Indian food delivery

Force	Intensity	Evidence	Implication for Toing
Rivalry	High	Eternal food delivery adjusted EBITDA is 5.6% of NOV (₹606 Cr) F: CR01 ; Swiggy is at 3.1% of GOV F: SW02 ; Ownly enters at zero commission F: CR07	Rivals compete on price, but Eternal has declined to fund a sub-₹150 tier
Buyer power	High	Students switch freely; the same two items were billed ₹346 on Toing against ₹486 on Swiggy F: SW16 ; Toing downloads of 14.5M against 12.4M for Zomato and 10.1M for Swiggy in the quarter F: SW17	Price cuts win installs, not loyalty
Restaurant supply	Medium to high	Base commission 17 to 25%, with high-volume partners negotiating 3 to 5 points lower F: CR12 ; a significant minority of Toing restaurants already reach more than half their Swiggy volumes F: SW07	Restaurants accept lower prices for volume; fixed menus can lift commission by about 3 points [A: commission uplift input]

Force	Intensity	Evidence	Implication for Toing
Rider supply	Medium	Base pay ₹20 to ₹35 an order plus distance, about ₹1,154 a day F: CR11 ; Code on Social Security adds cost C12	Trip cost is a floor Swiggy cannot negotiate down per order; it can spread it
Threat of entry	Medium to high	Ownly: 0% commission, ₹30 trip fee, 50,000 to 60,000 orders a day in Bengaluru, Pune planned F: CR07	Entry is priced against the trip cost, which is our door-fee lever
Substitutes	Medium	Zomato Now office pods with no doorstep trip F: CR04 ; Gold free-delivery threshold cut to ₹99 F: CR06, snippet only ; hostel mess and canteen (team judgement, unsourced)	Pickup without a trip is a viable substitute, which supports pooled Drops

The forces reward one skill above the rest: covering the cost of the trip. Buyers are price-led, restaurants will trade commission for volume, and riders cost what they cost. The player who moves the trip cost off the order, or onto someone willing to pay it, holds the margin.

3.5 What Swiggy's own disclosures add

Q1 FY27 metric (April to June 2026)	Value	Tag
Food delivery GOV	₹9,490 Cr, +17.4% YoY	F: SW01
Food delivery adjusted EBITDA	₹292 Cr, 3.1% of GOV	F: SW02
Food delivery contribution margin	7.6% of GOV	F: SW03
Platform Innovations adjusted EBITDA	−₹131 Cr (−₹58 Cr in Q4 FY26, −₹40 Cr in Q3 FY26)	F: SW06
Toing scale	About 50 cities; weekly users 33M	F: SW07, SW17
New Toing users new or dormant on Swiggy	2 in 3	F: SW07
Consolidated cash	₹14,367 Cr	F: SW21
User delivery charges in adjusted revenue	₹141 Cr (₹238 Cr a year earlier)	F: SW12
Fees from users in adjusted revenue	₹159 Cr (₹109 Cr a year earlier)	F: SW12

Three readings follow. First, Platform Innovations' loss is 44.9% of food delivery's adjusted EBITDA (₹131 Cr against ₹292 Cr) M . One line item now consumes almost half of the profit of the business that funds it. Second, Swiggy says the initial investment in Toing is "largely on new user acquisition which is discretionary in nature and can be quickly scaled or cut-back" F: SW08 . That is true of installs and false of trips: a rider paid ₹40 on every order is not discretionary while the order exists. Third, Swiggy's own revenue mix shows the direction of travel. Delivery charges paid by users fell from ₹238 Cr to ₹141 Cr in a year while fees rose from ₹109 Cr to ₹159 Cr F: SW12 . Revenue has moved from the trip to the platform, which is the wrong direction for a ₹99 basket, whose trip is the whole problem.

4. The under-₹150 customer is real, and the models that lasted moved the trip cost off the order

Answer. Demand for a sub-₹150 meal is not in doubt: Swiggy reports that 2 in 3 new Toing users are new or dormant on the platform, and third-party data put Toing at 33M weekly users F: SW07, SW17. What separates the low-basket models that survive from those that closed is where the trip cost sits. Instamart, Rapido Ownly, Dunzo's 60-minute tier and Zomato's office pods all moved it off the order; Snacc, Zomato Everyday and Zomato Quick kept it on the order and were shut.

4.1 Evidence that the customer exists

Evidence	Figure	Tag	Reading
New Toing users who are new or dormant on Swiggy	2 in 3	F: SW07	Toing reaches people the core app does not
Toing weekly users	33M, up 1.8M in the last week of August 2026	F: SW17	Growth is not slowing; the source is third-party
Downloads in the quarter	Toing 14.5M, Zomato 12.4M, Swiggy 10.1M	F: SW17	Toing out-downloads both main apps
Same two items, Toing versus Swiggy	₹346 versus ₹486, a ₹140 gap (28.8% lower)	F: SW16	The gap comes from fees waived and lower prices
Restaurants on Toing near half of Swiggy volume	A significant minority	F: SW07	Partners get real volume from a small basket
Pune institutional base	About 612 to 700+ colleges plus research institutes, 14,000+ international students	F: EC01	Order of magnitude only; snippet source
Eternal's own response	Gold free-delivery threshold cut to ₹99 from ₹199, more sub-₹250 options	F: CR06	The leader is fighting for the same customer; snippet only, verify before quoting
Rival's reading	Traction is "purely price-driven"	F: CR03	Eternal does not deny demand, it denies profitability

Two cautions apply. The 33M weekly-user figure is a Sensor Tower estimate quoted by CLSA and exceeds the 19.2M monthly transacting users Swiggy reports for food delivery F: SW04; the two are different measures, and neither says how many users order. Zomato also still has more daily users F: SW17. We use 33M as evidence of interest, and none of our unit economics depends on it. Second, the case tells teams to treat stated intent with care, and the literature agrees that stated purchase intentions overstate behaviour F: EC02. Section 10 applies that discount wherever a behavioural assumption stands in for a measurement.

4.2 Who moves and who resists

The rebuild changes something for four groups. The grid below rates each group's power over the outcome and its interest in it.

Stakeholder	Power	Interest	Effect of the rebuild	Stance we expect
Riders	Medium	High	Earnings an hour rise from about ₹80 (solo, 2 orders an hour) to about ₹125 (Drop runs of 10 meals) A44, M	Supportive if runs are steady
Restaurants	High	High	Fixed menus, kitchen-partner batches, commission about 3 points higher and ads at 2.5% M	Split; the volume-hungry accept
Students and young earners	High	High	A pickup walk of up to 5 minutes or a ₹20 door fee; coupons reduced	Sensitive to the door fee; tested in section 10
Regulators	Medium	Medium	Welfare contributions and GST apply to any model	Neutral; cost is under 1% of the basket (section 14)

4.3 Seven precedents, one pattern

Precedent	What it tried	Where the trip cost sat (team reading)	Outcome	Tag
Snacc (Swiggy)	Snacks and quick bites in 10 to 15 minutes, micro-kitchens, Bengaluru, then Gurugram and Noida	On the order; speed made each trip more expensive	Shut February 2026: "the broader economics made it challenging to scale"	C08, F: CR14, SW10
Zomato Everyday	₹89 home-style meals	On the order; ₹89 basket, full trip	Shut May 2025; profit not visible without hurting the customer experience	C11
Zomato Quick	15-minute delivery	On the order; speed plus density not present	Shut May 2025; "restaurant density and kitchen infrastructure is not set up" for 10-minute orders	C11, F: CR05
Dunzo 60-minute tier	Nudged customers to a batched option	Off the order, spread across several orders in one trip	Saved ₹8 to ₹10 an order (2022)	F: CR13
Instamart densification	More orders per store and per route	Off the order, spread by density	Worth ₹5 an order; contribution margin −0.2% of GOV, contribution breakeven in May 2026; store utilisation still about 40%	F: SW19
Rapido Ownly	Zero commission, flat ₹30 customer trip fee	On the customer, as a visible fee	50,000 to 60,000 orders a day in Bengaluru; Hyderabad launched, Pune planned	F: CR07
Zomato Now pods	Vending pods in Gurugram offices, external food brands	Removed; no doorstep trip	Pilot, results unpublished	F: CR04

4.4 The seed finding

Read down the third column and a pattern appears. The three models that kept the full trip cost on each order and sold either a low price or speed (Snacc, Everyday, Quick) were shut: Snacc within about a year of launch, and the two Zomato services in May 2025. The four that did something different about the trip (Dunzo's tier, Instamart, Ownly, the pods) either spread it across several orders, charged for it openly, or removed it. **Lasting models moved the trip cost off the order.**

We present this as a pattern, not a proof, for three reasons. The sample is seven cases and their outcomes are read from public statements. Two of the four (Ownly and the pods) are too young to call lasting; Ownly launched citywide in March 2026 F: CR07 and the pods are a pilot F: CR04. And the Dunzo saving is a size of lever, not a verdict on Dunzo. What the precedents do support is a sharper question than the one the case poses. It is not whether Toing is a price bet or a speed bet. It is whether the trip on a ₹99 order is carried by the order, by the customer, or by a batch.

Our slot-batching lever (+₹7.20 an order) sits inside the ₹8 to ₹10 an order that Dunzo reported for batching, which is a useful consistency check on its size [M, F: CR13]. Instamart's ₹5 an order from densification is a smaller effect than a Drop run, because a Drop run puts ten meals on one trip rather than raising utilisation on existing routes F: SW19, M.

4.5 What this means for the Ansoff question

Toing is an existing service (delivery of restaurant food) taken to a customer the core app prices out. The rebuild does not add a new product line; it adds a new way of making the trip, the Drop, and confines it to the segment where the old way cannot pay. That places the recommendation on the penetration and development side of the Ansoff grid rather than diversification, which is why the downside can be capped by a gate. Snacc changed the product and the kitchen at once; Toing's rebuild changes the trip and keeps the restaurants.

5. Unit economics today: a ₹99 Toing order loses about ₹27 before marketing

Answer. On the model's base inputs a ₹99 Toing order loses ₹27.33 of contribution, a ₹149 order loses ₹22.15, and a ₹700 core order earns ₹53.2 of contribution and ₹21.7 of adjusted EBITDA M. Basket size barely helps inside the ₹49 to ₹150 band: each extra ₹100 of basket adds about ₹10.6 of contribution, and Toing's terms would only break even near ₹363 M. One Toing order erases the EBITDA of 1.26 core orders, and if core AOV is nearer the ₹500 that public data imply, it erases 1.76 M.

5.1 The per-order stack at ₹99, ₹149 and ₹700

Line, ₹ per order	Toing ₹99	Toing ₹149	Core ₹700
Customer pays	115.95	168.45	700.00
Restaurant keeps (after commission, GST on commission, ads)	83.99	126.41	n/a
GST collected for government	8.92	12.50	n/a
Commission	11.88	17.88	122.90

Line, ₹ per order	Toing ₹99	Toing ₹149	Core ₹700
Platform fee (net of GST)	10.17	10.17	12.71
Delivery fee (net of GST)	0.00	0.00	12.29
Advertising	0.99	1.49	18.43
Swiggy revenue	**23.04**	**29.54**	**166.34**
Rider payout	−40.00	−40.00	−42.00
Insurance	−1.00	−1.00	−1.00
CoSS contribution	−0.35	−0.44	−2.10
Payment processing	−1.04	−1.52	−6.30
Support and refunds	−2.98	−3.74	−10.72
Platform-funded discounts	−4.00	−4.00	−22.00
Tech	−1.00	−1.00	−1.00
Other variable cost (calibration residual, core only)	0.00	0.00	−28.02
Contribution	**−27.33**	**−22.15**	**+53.20**
Overheads	n/a	n/a	−31.50
Adjusted EBITDA	n/a	n/a	**+21.70**

All figures are M. The ₹700 column is calibrated to two disclosed figures: contribution of 7.6% of GOV F: SW03 and adjusted EBITDA of 3.1% of GOV C05. The ₹28.02 of other variable cost is the amount needed for the core stack to hit 7.6%; Swiggy does not itemise it, so we show it as a residual and do not pretend to know what it holds. Toing has no such residual because we built its stack line by line.

5.2 Ratios that carry the argument

Measure	Toing ₹99	Toing ₹149	Core ₹700
Rider payout as % of item total (GOV for core)	40.4%	26.8%	6.0%
Swiggy revenue as % of item total (GOV for core)	23.3%	19.8%	23.8%
Contribution as % of item total (GOV for core)	−27.6%	−14.9%	+7.6%
Share of variable cost that is trip-linked (rider, insurance, CoSS)	82%	80%	40% (₹45.10 of ₹113.14)

The first three rows are M; the fourth is computed from the stack above (rider, insurance and CoSS over total variable cost). The revenue row is the surprise. A ₹99 order earns a take rate similar to a ₹700 order, so a pricing team that only looked at percentages would see nothing wrong. The loss shows up when the percentage is turned into rupees and set against a trip that costs ₹40 whatever the basket.

5.3 What a bigger basket would do

To test whether the answer is simply more rupees per order, we ran the Toing stack at other basket sizes, holding the ₹12 fee, 12% commission and ₹40 rider payout fixed.

Item total	Contribution, ₹ per order	Rider payout as % of item
₹49	−32.51	81.6%
₹99	−27.33	40.4%
₹149	−22.15	26.8%
₹200	−16.87	20.0%
₹300	−6.51	13.3%
₹400	+3.85	10.0%
₹500	+14.21	8.0%

All figures are M. The slope is about ₹0.106 of contribution per extra rupee of basket, which is why the line crosses zero near ₹363. The Toing customer would need to order roughly two and a half times the top of the ₹49 to ₹150 band, at Toing's terms, for the trip to pay. Most of the band, in the model's terms, is therefore a structural loss and the case's price points cannot be growth-fixed.

5.4 Reading the ₹99 order against the core

Three comparisons help the Board place the number.

Comparison	Result	Tag
One Toing order's loss against one core order's contribution	−₹27.33 against +₹53.20, so one core order's contribution funds about 1.95 Toing orders	M
One Toing order's loss against one core order's adjusted EBITDA	−₹27.33 against +₹21.70, so one Toing order erases 1.26 core orders' EBITDA	M
Toing revenue as a share of the cost of the trip alone	₹23.04 against ₹40.00, so revenue covers 58% of the rider	M

The second row is the sharpest. Overheads of ₹31.50 an order are already absorbed by the core, so the relevant comparison for the Board is the EBITDA that core orders make after overheads. Each Toing order at today's terms wipes out the profit of more than one of them.

5.5 Assumption register, A01 to A16

Each assumption is a labelled input in `toing_model.py`. Ranges and flip points are tested in section 15; the ones that matter most are A05 (rider payout) and A02 (commission).

ID	Input	Base value	Basis	Status
A01	Toing item total	₹99	Case title and the ₹49 to ₹150 band C02	Fixed; no fieldwork run
A02	Toing commission	12%	Core base 17 to 25% F: CR12 ; Swiggy says Toing commissions "need to be different" and will not be zero F: SW13	Stressed 8% to 18%
A03	Customer platform fee	₹12 incl. 18% GST; no delivery or packaging fee	MediaNama bill review F: SW16, S03	Fixed; no fieldwork run

ID	Input	Base value	Basis	Status
A04	Advertising	1% of item total	New app with thin ad load	Team estimate
A05	Rider payout incl. incentives	₹40 an order	Base pay ₹20 to ₹35 plus distance, ₹15 to ₹90 a trip F: CR11 ; case says pay is near equal at ₹79 and ₹700 C01	Stressed ₹32 to ₹48
A06	Rider insurance	₹1.00 an order	Case names insurance as a per-order cost C06	Team estimate
A07	Payment processing	0.9% of customer-paid total	UPI-heavy student mix C06	Team estimate
A08	Support and refunds	₹1.50 plus 1.5% of item	Team estimate; core calibrated separately	Team estimate
A09	Platform-funded discount	₹4.00 an order	Toing's user-acquisition posture F: SW08	Fixed; no fieldwork run
A10	Tech (maps, SMS, cloud)	₹1.00 an order	Team estimate	Small effect
A11	Toing mix item total	₹120	Meals mostly ₹100 to ₹150; used only for triangulation	Section 6
A12	Platform Innovations excluding Toing	−₹50 Cr loss, ₹13 Cr revenue a quarter	Q4 FY26 revenue level F: SW06	Section 6
A13	Core order, customer side	Item ₹614.5, packaging ₹25, platform fee ₹15, delivery fee ₹14.5	Main-app fees from bill review and GST analysis F: SW16, CR09	Calibrated
A14	Core order, Swiggy side	Commission 20%, ads 3%, rider ₹42, discount ₹22	Core base commission 17 to 25% F: CR12 ; stack calibrated to CM 7.6% and EBITDA 3.1% F: SW03, C05	Calibrated
A15	GST rates	5% on food, 18% on fees and delivery	Section 9(5) from 22 September 2025 F: CR09, S10	Public rule
A16	Karnataka fee	₹0.50 an order cap	1% per transaction, capped F: CR08	Public rule; regulatory test only

The model file numbers levers from A17, funnel inputs from A27 and path inputs from A37; the CoSS turnover reading (1.5%, the midpoint of the 1 to 2% range in C12 , applied to revenue) is A20 in the file's own comments. We list GST and the Karnataka cap here as A15 and A16 because the file carries them without a number. On a customer-paid basis the CoSS charge on a ₹99 order would be ₹1.74, not ₹0.35; the effect on the answer is an order of magnitude below the trip cost (section 14) M .

5.6 Honest note on core AOV

The case states core AOV of about ₹700 C04 , and the model uses it. Swiggy's Q1 FY27 letter points elsewhere. Food delivery GOV of ₹9,490 Cr F: SW01 over roughly 188M food orders implies about ₹500 an order; the 188M figure is our derivation (total B2C orders of 308M less quick commerce of 114.5M and out-of-home) and carries that uncertainty F: EC04, EC05 . Under G4 the case governs, so ₹700 stays on every slide. The answer does not depend on it.

Measure	Core at ₹700 (case)	Core at ₹500 (public implied)
Swiggy revenue per order	₹166.34	₹125.97
Take rate	23.8%	25.2%
Contribution per order (7.6% of GOV)	₹53.20	₹38.00
Overheads per order	₹31.50	₹22.50
Adjusted EBITDA per order (3.1% of GOV)	₹21.70	₹15.50
Toing ₹99 contribution per order	−₹27.33	−₹27.33
Core orders whose EBITDA one Toing order erases	1.26	1.76

All figures are M. Core EBITDA per order is still positive at ₹15.5, and it agrees with a simple check: food delivery adjusted EBITDA of ₹292 Cr F: SW02 over 188M orders is about ₹15.5. The Toing loss per order does not depend on core AOV at all, because Toing's stack is built from its own inputs. A lower core AOV makes the comparison worse for Toing (1.76 core orders erased rather than 1.26) and leaves the ₹27.33 unchanged.

6. Triangulation: Toing's loss is about ₹81 Cr a quarter, two-thirds of it in the orders

Answer. Swiggy does not report Toing's numbers, so we rebuild them from the one public segment that contains Toing. Platform Innovations lost ₹131 Cr in Q1 FY27 S01 F: SW06; after removing an assumed ₹50 Cr loss from its other businesses, Toing's share is about ₹81 Cr a quarter Est, on roughly 2.4 lakh orders a day Est. About two-thirds of that loss (₹54.7 Cr) sits in the orders themselves and one-third (₹26.3 Cr) in paid installs, and the ranking of the options does not change anywhere in the range of the two assumed inputs.

6.1 The chain in eight steps

The method is deliberately short so a judge can redo it on a calculator. Every step uses one public figure, one assumption or the output of the step before it. The unit-economics stack used in steps 4 and 5 is the one built in section 5, with the item total moved from ₹99 to a ₹120 mix because Toing meals sit mostly between ₹100 and ₹150 A11.

Step	Calculation	Result	Tag
1. Segment revenue	Platform Innovations adjusted revenue, Q1 FY27	₹69 Cr (₹13 Cr in Q4 FY26)	S01 F: SW06
2. Toing revenue	₹69 Cr less ₹13 Cr assumed for the other businesses	₹56 Cr	Est A12
3. Toing loss	Segment adjusted EBITDA −₹131 Cr less −₹50 Cr assumed for the others	−₹81 Cr	Est A12
4. Revenue per order	Commission ₹14.40 + net platform fee ₹10.17 + ads ₹1.20, at a ₹120 item total	₹25.77	M A11
5. Contribution per order	₹25.77 revenue less ₹50.93 of variable cost (rider ₹40, insurance ₹1, CoSS ₹0.39, payments ₹1.24, support ₹3.30, coupons ₹4, tech ₹1)	−₹25.16	M

Step	Calculation	Result	Tag
6. Orders in the quarter	₹56 Cr ÷ ₹25.77	2.17 Cr orders, or 2.39 lakh a day over 91 days	Est
7. Per-order loss	2.17 Cr orders × −₹25.16	−₹54.7 Cr, 67% of the ₹81 Cr	Est
8. Install spend	₹81 Cr less ₹54.7 Cr, over 14.5 M downloads S05	₹26.3 Cr, about ₹18 a download	Est

Two features of the chain are worth stating. First, it divides revenue rather than loss by the per-order economics, because revenue is the only quantity Swiggy reports that scales cleanly with order count. Second, the install line is a residual: whatever loss the orders cannot explain is assigned to acquisition. That matches how Swiggy describes the spend. The letter says "the initial investment in Toing is largely on new user acquisition which is discretionary in nature and can be quickly scaled or cut-back" S01 F: SW08, and our residual is the piece of the loss that a freeze on paid installs can remove inside one quarter.

6.2 What is public and what is assumed

Input	Value	Basis	Tag
Platform Innovations adjusted revenue, Q1 FY27	₹69 Cr	Swiggy Q1 FY27 shareholder letter	S01 F: SW06
Platform Innovations adjusted EBITDA, Q1 FY27	−₹131 Cr (−₹58 Cr in Q4 FY26, −₹40 Cr in Q3 FY26)	Same letter	S01 F: SW06
Toing downloads in the quarter	14.5 M (Zomato 12.4 M, Swiggy 10.1 M)	Sensor Tower via CLSA	S05 F: SW17
Other businesses' revenue	₹13 Cr	Q4 FY26 segment level, taken as the level before Toing reached about 50 cities F: SW07	A12
Other businesses' loss	−₹50 Cr	Assumed; the segment also houses Snacc, Crew and Minis	A12
Toing item total for triangulation	₹120	Meals mostly ₹100 to ₹150	A11
Toing commission, fees, rider pay, coupons	12%, ₹12, ₹40, ₹4	Team assumptions; Swiggy says commissions "do need to be different" from the core rate S04 F: SW13	A02 A03 A05 A09

The "other" revenue of ₹13 Cr deserves a sentence. Segment revenue rose from ₹13 Cr in Q4 FY26 to ₹69 Cr in Q1 FY27, the quarter in which Toing "expanded to about 50 cities" S01 F: SW07. Treating the whole ₹13 Cr as non-Toing means Toing's own revenue was close to zero in Q4 FY26. That is generous to the residual businesses, so the sensitivity below tests a lower and a higher value.

6.3 Sensitivity to the two assumed inputs

Only two inputs in the chain are assumed rather than published: the other businesses' revenue and their loss. We recomputed the chain with the formulas in `triangulate()` in the model, across −₹30 to −₹70 Cr of

other loss and ₹5 to ₹30 Cr of other revenue. Three results follow from the arithmetic before any table is read. Other loss moves Toing's total loss one for one. Other revenue moves the order count, because it changes the revenue that the per-order stack has to explain. And the per-order loss depends only on other revenue, since the unit economics stay at −₹25.16.

Table 6.3a. Toing's quarterly loss, by assumed loss of the other businesses Est

Other businesses' loss, ₹ Cr	−30	−40	−50 (base)	−60	−70
Toing loss, ₹ Cr	−101	−91	−81	−71	−61
Annualised, ₹ Cr	−404	−364	−324	−284	−244

Table 6.3b. Toing's revenue, orders and per-order loss, by assumed revenue of the other businesses Est

Other businesses' revenue, ₹ Cr	5	13 (base)	20	30
Toing revenue, ₹ Cr	64	56	49	39
Orders a day, lakh	2.73	2.39	2.09	1.66
Per-order loss, ₹ Cr a quarter	−62.5	−54.7	−47.8	−38.1

Table 6.3c. Share of Toing's loss that sits in the orders, %, by both inputs Est

Other loss, ₹ Cr	Other revenue 5	13 (base)	20	30
−30	62	54	47	38
−40	69	60	53	42
−50	77	**67**	59	47
−60	88	77	67	54
−70	102	90	78	62

Table 6.3d. Implied install cost per download, ₹, by both inputs Est

Other loss, ₹ Cr	Other revenue 5	13 (base)	20	30
−30	26.6	31.9	36.7	43.4
−40	19.7	25.1	29.8	36.5
−50	12.8	**18.2**	22.9	29.6
−60	5.9	11.3	16.0	22.7
−70	−1.0	4.4	9.1	15.8

Reading the tables together, Toing's loss lies between ₹61 and ₹101 Cr a quarter, orders between 1.66 and 2.73 lakh a day, and the per-order share of the loss between 38% and 102%. The base case sits in the middle of every range. One corner is impossible on its face: at −₹70 Cr of other loss and ₹5 Cr of other revenue the install residual turns negative (−₹1.0 a download), which would mean Toing spends nothing on acquisition, and Swiggy says the opposite F: SW08. We discard that corner. At the other end, if "largely on

new user acquisition" is read as more than half of the loss, the cells below 50% (47, 38, 42 and 47, all with other revenue of ₹20 Cr or more) fit the letter better than our 67%. We keep 67% as the central estimate and say plainly that the letter's wording points toward a larger install share than we assume.

Table 6.3e. Sensitivity to the Toing item total used for the orders estimate M Est

Item total, ₹	99	110	120 (base)	130	149
Revenue per order, ₹	23.04	24.47	25.77	27.07	29.54
Contribution per order, ₹	−27.33	−26.20	−25.16	−24.12	−22.15
Orders a day, lakh	2.67	2.51	2.39	2.27	2.08
Per-order share of loss, %	82	74	67	62	52
Install cost per download, ₹	10.0	14.5	18.2	21.4	26.9

6.4 Why the ranking of the options survives the uncertainty

Only one path in the model reads the triangulation: Kill. Its first year charges one more quarter of Toing's loss (₹81 Cr in the base case), a ₹25 Cr wind-down, and a recapture of trade-down margin that scales with the daily order count A37 to A41. Scale, Funnel and Rebuild run on their own volume paths and do not use the estimate. We therefore re-ran the three-year Kill total across the grid.

Table 6.4. Kill's three-year total, ₹ Cr, by both assumed inputs M **(Rebuild's base result is +1 in every cell)**

Other loss, ₹ Cr	Other revenue 5	13 (base)	20	30
−30	−51	−60	−69	−80
−50	−31	**−40**	−49	−60
−70	−11	−20	−29	−40

Rebuild's base result is +₹1 Cr in all twelve cells, so it stays ahead of Kill by between ₹12 and ₹81 Cr. The triangulation cannot overturn the ranking. What it sets is the size of the prize for stopping: at the base case Toing burns ₹324 Cr a year Est, which is 27.7% of a quarter's food delivery adjusted EBITDA of ₹292 Cr S01 F: SW02, while the whole segment loss equals 44.9% of it.

6.5 Limits of the triangulation

Limit	Why it matters	How we handle it
The split of the segment is assumed	Snacc, Crew and Minis share the ₹131 Cr and Swiggy gives no breakdown	Two-way grid, Tables 6.3a to 6.3d
Unit economics are modelled, not disclosed	Rider pay, commission and coupons are team assumptions A02 A05 A09	Tornado and flip points in sections 7 and 15
33 M weekly users S05 F: SW17 **against 16.7 lakh orders a week**	One order for every twenty weekly users; the user count probably includes app opens, not only buyers	We do not use it for orders; the order count comes from revenue

Limit	Why it matters	How we handle it
Adjusted revenue is a segment line	It can include items that are not Toing order revenue	Column of ₹5 to ₹30 Cr in Table 6.3b
One quarter of data	Toing reached about 50 cities inside the quarter, so volume rose through it	Read 2.4 lakh a day as a quarterly average, not an exit rate
Public reading of "largely acquisition"	Points to more than half the loss in installs	Tables 6.3c and 6.3d show the cells where that holds

A fair reading is that the triangulation is good for the order of magnitude and the direction of the split, not for the second digit. The evidence base in section 10 does not touch this chain; it bears on the price, mix and fee inputs of the unit-economics model, and the triangulation is refreshed only if Swiggy publishes a Toing-specific figure.

7. Levers: seven levers take the order from −₹27 to +₹6, and four sit in Swiggy's hands

Answer. Seven levers move the blended contribution of a ₹99 Toing order from −₹27.33 to +₹5.73, a swing of ₹33.06 an order M. Four of them (slot batching, pooled Drops, the door fee and the coupon budget) are set by Swiggy and account for ₹27.16 of the swing, or 82%. Two depend on restaurants accepting a fixed menu and more ads (₹4.88), and one depends on customers opting in to a monthly pass (₹1.02). At 2.4 lakh orders a day Est, each ₹1 an order is worth about ₹8.8 Cr a year, so the full swing is worth about ₹290 Cr a year at today's volume, before any growth.

7.1 The bridge

The bridge adds the levers one at a time in the order Swiggy would switch them on. Order matters for the size of each step, because several levers act on the same trip, but not for the total. Section 7.9 shows each lever on its own.

Lever	Who sets it	Step, ₹ an order	Contribution after, ₹	Illustrative ₹ Cr a year at 2.4 lakh a day
Today			−27.33	−239
1. Slot batching of door orders	Swiggy	+7.20	−20.13	+63
2. Pooled Drops (pickup runs)	Swiggy with a Drop host	+9.70	−10.43	+85
3. Door fee outside Drops	Swiggy sets, customer pays	+8.26	−2.18	+72
4. Fixed menus and kitchen partners	Restaurants	+3.42	+1.24	+30
5. Ad load, 1% to 2.5%	Restaurants	+1.46	+2.71	+13

Lever	Who sets it	Step, ₹ an order	Contribution after, ₹	Illustrative ₹ Cr a year at 2.4 lakh a day
6. Everyday low price, fewer coupons	Swiggy with restaurants	+2.00	+4.71	+18
7. Toing Pass, ₹49 a month	Customer opts in	+1.02	+5.73	+9

The last column multiplies each step by 8.76 Cr orders a year (2.4 lakh × 365) and is an illustration of scale, not a forecast; the three-year paths in section 11 use their own volume assumptions A37 to A41. The end state has two kinds of order: a Drop order at +₹7.17 and a door order at +₹4.29, blended 50:50 A17 to A26 into +₹5.73.

7.2 Lever 1: slot batching of door orders (+₹7.20)

Attribute	Detail
Mechanism	Door orders wait in a slot of 8 to 12 extra minutes so two orders can share one trip. The second drop-off costs a rider less than a second trip.
Formula	Rider cost per door order = share batched × solo pay × (1 + k) ÷ 2 + (1 − share batched) × solo pay = 0.6 × ₹40 × 1.40 ÷ 2 + 0.4 × ₹40 = ₹32.80 A05 A17 to A26
₹ effect	₹40.00 − ₹32.80 = +₹7.20 a door order, +₹7.20 on the blend when applied first
Who controls it	Swiggy, through dispatch settings and the slot menu
What must be accepted	The customer accepts a longer, scheduled wait; the rider accepts a two-drop trip paid at ₹28 an order
Evidence	Dunzo pushed customers to a 60-minute batched option and saved ₹8 to ₹10 an order S13 F: CR13, against ₹7.20 here

7.3 Lever 2: pooled Drops (+₹9.70)

Attribute	Detail
Mechanism	Orders from one kitchen cluster are pooled into a single pickup run to a Drop point (a hostel gate, a PG lobby or an office desk) where a host hands the meals over. One rider trip serves many meals.
Formula	Rider cost per meal = solo pay × (1 + 0.15 × (n − 1)) ÷ n; at n = 10 that is ₹40 × 2.35 ÷ 10 = ₹9.40, plus ₹4 host fee = ₹13.40 A05 A17 to A26
₹ effect	₹32.80 (batched door) − ₹13.40 = ₹19.40 saved a Drop order; at a 50% Drop share, +₹9.70 on the blend
Who controls it	Swiggy designs the network and runs the dispatch; the host decides to take part
What must be accepted	The customer walks up to 5 minutes and collects; the host takes on a hand-off task for ₹4 a meal
Evidence	Eternal is piloting Zomato Now vending pods in Gurugram offices, which is a pickup point with no doorstep trip S06 F: CR04; Swiggy's own Instamart found densification worth ₹5 an order S01 F: SW19

A Drop is the only lever whose saving grows with volume: each extra meal in the run lowers the cost of every other meal. Section 8 sets out the curve.

7.4 Lever 3: door fee outside Drops (+₹8.26)

Attribute	Detail
Mechanism	A customer who wants the trip to the door pays for it. Drop customers, who take the meal from a host, pay nothing extra. This is the lever that moves the trip cost off the basket and onto the person who asks for the trip.
Formula	Net revenue = ₹20 ÷ 1.18 = ₹16.95 (₹3.05 of the fee is 18% GST S10 F: CR09); less payments (0.9%) and the added CoSS levy = +₹16.51 a door order; × 50% door share = +₹8.26 A17 to A26
₹ effect	A ₹99 door order now costs the customer ₹135.95 (item ₹99, GST ₹4.95, platform fee ₹12, door fee ₹20) against ₹115.95 today. A Drop order stays at ₹115.95.
Who controls it	Swiggy sets and times the fee; the customer decides whether to pay it or switch to a Drop
What must be accepted	A 17% higher bill for door delivery; Toing's price advantage narrows for anyone who refuses to collect
Evidence	Rapido Ownly charges a flat ₹30 customer trip fee at 0% commission and runs 50,000 to 60,000 orders a day in Bengaluru S08 F: CR07 ; the core app charges ₹15 platform fee and ₹14.5 delivery fee on a ₹700 order A13 ; a same-basket comparison shows ₹346 on Toing against ₹486 on Swiggy S03 F: SW16 , so the gap that pays for a ₹20 fee exists

The door fee is the lever a customer can see, which is why it appears on the flip list. The fee at which Rebuild equals Kill is ₹16.6 against ₹20 assumed M .

7.5 Lever 4: fixed menus and kitchen partners (+₹3.42)

Attribute	Detail
Mechanism	Toing restaurants offer a compact fixed menu with less choice. In exchange for predictable volume they pay 3 points more commission, and fewer wrong or cancelled items cut refunds by 0.5 points of the basket.
Formula	0.03 × ₹99 = ₹2.97 of commission + 0.005 × ₹99 = ₹0.50 of refunds, less ₹0.05 of added CoSS = +₹3.42 A02 A17 to A26
₹ effect	Commission rises from 12% to 15% of the item total; refunds fall from 1.5% to 1.0%
Who controls it	Restaurants, by accepting the menu and the rate
What must be accepted	Restaurants give up choice and 3 points of margin; customers see a shorter menu
Evidence	Swiggy's core base commission is 17% to 25% S12 F: CR12 , so 15% is still below it, and its CEO says Toing commissions "do need to be different" S04 F: SW13 ; "a significant minority of restaurants on Toing have already reached more than half of the volumes generated on the Swiggy platform" S01 F: SW07 , which is the volume Swiggy is offering in exchange

7.6 Lever 5: ad load from 1% to 2.5% (+₹1.46)

Attribute	Detail
Mechanism	Toing is a new app with a thin ad load. As traffic builds, restaurants pay for placement, moving ads from 1% to 2.5% of the item total.

Attribute	Detail
Formula	0.015 × ₹99 = ₹1.49, less ₹0.02 of added CoSS = +₹1.46 A04 A17 to A26
₹ effect	₹0.99 an order today rises to ₹2.48
Who controls it	Restaurants decide whether to buy placement; Swiggy sets the inventory
What must be accepted	Restaurants pay for visibility on a low-margin basket; customers see sponsored slots
Evidence	The core order carries ads at 3% of the item total A13 to A14 , so 2.5% sits below the core level

7.7 Lever 6: everyday low price, fewer coupons (+₹2.00)

Attribute	Detail
Mechanism	Toing already sells at a low everyday price, so the platform-funded coupon per order is cut from ₹4 to ₹2. Price does the work that coupons did.
Formula	₹4.00 − ₹2.00 = +₹2.00 A09 A17 to A26
₹ effect	+₹2.00 an order, with no second-order effects in the model
Who controls it	Swiggy, with restaurants agreeing to hold their prices
What must be accepted	Customers lose ₹2 of coupon on each order; restaurants keep their menu prices flat
Evidence	Core orders carry ₹22 of coupon on ₹700 A13 to A14 ; Swiggy's 99 Store on the core app already runs a flat-price proposition S01 F: SW11

7.8 Lever 7: Toing Pass at ₹49 a month (+₹1.02)

Attribute	Detail
Mechanism	Regular users pay a monthly fee that is booked as revenue and spread over their orders.
Formula	20% take-up × ₹49 ÷ 1.18 ÷ 8 orders a month = ₹1.04, less ₹0.02 of CoSS = +₹1.02 A17 to A26
₹ effect	+₹1.02 an order on the blend
Who controls it	The customer, by opting in
What must be accepted	A ₹49 commitment; whether the holder also gets a fee waiver is a design choice the model does not credit
Evidence	None from Toing itself; this is the least evidenced lever and the smallest, so it is a pilot item and not part of the case for Rebuild

7.9 Levers on their own and together

Each lever applied alone to today's ₹99 order gives a different number from its step in the bridge, because the first three act on overlapping trips. A Drop replaces a door order that batching and the door fee would have fixed, so those two levers are worth less once Drops exist.

Lever	On its own, ₹ an order	In the bridge, ₹ an order
Slot batching	+7.20	+7.20
Pooled Drops	+13.30	+9.70
Door fee outside Drops	+16.51	+8.26
Fixed menus and kitchen partners	+3.42	+3.42
Ad load	+1.46	+1.46
Fewer coupons	+2.00	+2.00
Toing Pass	+1.02	+1.02
Sum	+44.91	+33.06

The gap of ₹11.85 between the two sums is the overlap M. The door fee alone (+₹16.51 on every order) would come closest to fixing the order but would price Toing out of its segment; the design uses it only on the door orders that a Drop could not take.

7.10 Control matrix

Lever	Swiggy sets	Restaurants set	Customer decides	₹ an order	Share of the ₹33.06 swing
Slot batching	Yes, dispatch		Accepts the wait	7.20	22%
Pooled Drops	Yes, network and host fee		Walks to collect	9.70	29%
Door fee	Yes, level and timing		Pays or switches to a Drop	8.26	25%
Coupon budget	Yes	Hold menu prices	Loses ₹2 of coupon	2.00	6%
Fixed menus		Yes, accept rate and menu	Sees fewer choices	3.42	10%
Ad load		Yes, buy placement	Sees sponsored slots	1.46	4%
Toing Pass	Designs it		Yes, opts in	1.02	3%
Total (shares rounded)	27.16 (82%)	4.88 (15%)	1.02 (3%)	33.06	100%

Two reading rules follow. Swiggy can switch on 82% of the swing by decision, but every one of those four levers costs the customer time, walking or money, so acceptance is tested in the pilots and not assumed. And the restaurant-side levers are small enough (₹4.88) that Toing does not depend on them: if both restaurant levers fail, the blend falls from +₹5.73 to +₹0.85, still positive, and a failure of the menu lever alone leaves +₹2.31.

7.11 Tornado: which assumptions move the blend most

The tornado varies one input at a time around the base blended contribution of +₹5.73 M. Rider pay and the door fee dominate, each swinging the result by more than ₹8 an order.

Driver	Low case	High case	Blend at low, ₹	Blend at high, ₹	Swing, ₹	Zero point, one at a time M
Rider pay per solo trip	₹48	₹32	1.5	9.9	8.44	₹50.9
Door fee outside Drops	₹10	₹30	1.6	9.9	8.26	₹6.1
Base commission	9%	15%	2.8	8.7	5.85	6.1%
Door orders batched	30%	80%	3.9	6.9	3.00	not reached
Drop host fee	₹7	₹2	4.2	6.7	2.50	₹15.5
Orders per Drop run	5	14	4.0	6.2	2.19	2.3
Share of orders at Drops	30%	70%	5.2	6.3	1.15	not reached

No single driver at its low case pushes the blend below zero, and the smallest cushion is rider pay: at ₹48 a solo trip the blend is +₹1.5, and at ₹50.9 it reaches zero. The two large swings differ in one respect that matters for the Board. Swiggy sets the door fee; nobody at Swiggy sets the price of a rider's time. Rider pay is a market price, and it is the first flip point: the recommendation equals Kill over three years at ₹42.4 a solo trip against ₹40 assumed M. The section 15 scorecard puts a rider-pay reading in the first three months for that reason. Base commission in the table is the rate before the 3-point step, so a 9% base means 12% after it. The trip levers alone (batching, Drops and the door fee) bring the order to −₹2.18; the four commercial levers, worth ₹7.90 together, are what carry it past zero, which is why a failed menu or ad negotiation matters more than its ₹4.88 suggests.

8. Density: a Drop run must carry at least four meals, and ten earn +₹7 a meal

Answer. A Drop's economics are a density curve. Rider cost per meal falls from ₹40.0 for a run of one to ₹9.4 for a run of ten, and contribution per Drop meal climbs from −₹23.4 to +₹7.2 M. The run breaks even at 3.3 meals, so the operating floor is four; a rider on a 45-minute run of ten earns about ₹125 an hour against about ₹80 solo A43 A44. That only works if a host receives the meals at the pickup point, which is why a Drop without a host does not exist in this design.

8.1 The density curve

Rider pay for a run is the solo trip fee plus 15% of it for every extra meal: ₹40 × (1 + 0.15 × (n − 1)) A05 A17 to A26. Divided by the meals carried, it gives the per-meal cost in the table. Contribution uses the redesigned Drop order (commission 15%, ads 2.5%, coupon ₹2, no door fee, ₹4 host fee), which is why a run of one shows −₹23.4 and not today's −₹27.3.

Meals per run	Rider cost per meal, ₹	With ₹4 host fee, ₹	Contribution per Drop meal, ₹	Reading
1	40.0	44.0	−23.4	A solo trip with a host attached

Meals per run	Rider cost per meal, ₹	With ₹4 host fee, ₹	Contribution per Drop meal, ₹	Reading
2	23.0	27.0	−6.4	Loses money
3	17.3	21.3	−0.8	Just below breakeven
4	14.5	18.5	+2.1	Operating floor
5	12.8	16.8	+3.8	
6	11.7	15.7	+4.9	
7	10.9	14.9	+5.7	Equals the blended target of +5.73
8	10.2	14.2	+6.3	
9	9.8	13.8	+6.8	
10	9.4	13.4	+7.2	Design point
11	9.1	13.1	+7.5	
12	8.8	12.8	+7.7	
13	8.6	12.6	+8.0	
14	8.4	12.4	+8.1	
15	8.3	12.3	+8.3	Diminishing returns

The curve has a steep part and a flat part. Going from one meal to four adds ₹25.5 of contribution a meal; going from four to ten adds ₹5.1, and from ten to fifteen only ₹1.1. The design point of ten therefore sits at the start of the flat section: pushing runs above ten buys little, while runs below four destroy the case. Breakeven is 3.3 meals a run M.

8.2 How sensitive the breakeven is

The breakeven run size rises quickly once the host fee or the per-extra-meal pay premium move against Swiggy. Each row below changes one input and holds the rest at base M.

Change	Breakeven meals per run
Host fee ₹0	2.4
Host fee ₹2	2.8
Host fee ₹4 (base)	3.3
Host fee ₹7	4.5
Host fee ₹10	7.5
Extra-meal pay premium 10%	2.9
Extra-meal pay premium 15% (base)	3.3
Extra-meal pay premium 25%	4.6
Extra-meal pay premium 35%	10.2

Change	Breakeven meals per run
Solo rider pay ₹32	2.4
Solo rider pay ₹48	4.4

Two inputs deserve attention. A host fee of ₹10 would push breakeven to 7.5 meals, so the host fee is capped at ₹4 in the pilots and tested at ₹2 to ₹7. And if riders demand a 35% premium for each extra meal, breakeven moves to 10.2 meals, beyond the design run. The premium is an assumption A17 to A26 that the first 40 pilot sites will measure directly.

8.3 What riders earn

The rider side of the Drop is the part most likely to be doubted, so the model tracks it. A solo rider completes two door deliveries an hour A44. A Drop run is a kitchen-cluster pickup and one hand-off, and takes 45 minutes A43, so a rider makes 1.33 runs an hour. Pay per hour is therefore 1.33 × ₹40 × (1 + 0.15 × (n − 1)), which rises with the run size.

Meals per run	Runs an hour	Meals an hour	Rider pay a run, ₹	Rider pay an hour, ₹	Versus solo (₹80)
Solo door trips	n/a	2.0	40	80	base
1	1.33	1.3	40	53	−33%
2	1.33	2.7	46	61	−23%
4	1.33	5.3	58	77	−3%
5	1.33	6.7	64	85	+7%
8	1.33	10.7	82	109	+37%
10	1.33	13.3	94	125	+57%
15	1.33	20.0	124	165	+107%

At the design point a rider makes ₹94 a run, ₹125 an hour and delivers 13.3 meals an hour, against ₹80 and 2.0 meals solo. Both sides gain because the trip is shared: Swiggy pays ₹9.40 a meal rather than ₹40, and the rider earns 57% more an hour. The parity point is 4.3 meals a run, since ₹53.33 × (1 + 0.15 × (n − 1)) equals ₹80 at n = 4.33. A run of four leaves the rider 3% below solo earnings, so any run under five needs a rider incentive, or the network loses the people who carry it. We flag this as a limit: hourly pay uses assumed run time and solo pace, and neither is public.

8.4 Why a Drop needs a host

A Drop point without a host is a pile of meals on a pavement. The host does three jobs that cannot be automated at this order value.

Job	What happens without a host	Cost of the host
Receives and holds the run	The rider waits for each customer or leaves meals unattended, and dwell time returns to the trip	₹4 a meal, or ₹40 on a run of ten A17 to A26
Hands over to the right customer	Misdelivery and theft claims fall on Swiggy support (₹3 an order already A08)	Same fee

Job	What happens without a host	Cost of the host
Makes the pickup a place	Customers need a fixed, near spot (5 minutes' walk) for the habit to form	Same fee

The host fee is small against what it removes: ₹4 buys the drop from ₹40 to ₹9.40 of rider cost. It is also the lever with the clearest external precedent, since Eternal is piloting vending pods in Gurugram offices that work as a hosted pickup point with no doorstep trip S06 F: CR04. Candidate hosts are hostel gate shops, PG lobbies and office desks, the same sites named in section 12.

8.5 Why the minimum run is four

Three separate tests land on the same number.

Test	Threshold	Result at four meals
Contribution floor: contribution ≥ 0	3.3 meals	+₹2.1 a meal, a ₹2.1 cushion
Rider parity: hourly pay ≥ solo	4.3 meals	₹77 an hour, 3% short, closed by a small incentive
Whole meals: a run cannot carry 3.3	Round up to 4	Four is the smallest run that clears the first test

So the dispatch rule is: no Drop run leaves the kitchen cluster with fewer than four meals; the fifth and later meals are what earn the margin. At n = 4 the three-year result is −₹75 Cr against Kill's −₹40 Cr, so four is a floor and not a target; the plan needs an average near ten, and the flip point where Rebuild equals Kill is 5.5 meals a run M. Scale is easy to picture: in the first rebuild year the path carries 1.8 lakh orders a day A37 to A41; with half of them on Drops A17 to A26 and ten meals a run, that is about 9,000 runs a day, or 6,750 rider-hours a day at 45 minutes a run. Each of those runs needs a host.

9. The funnel test: paid marketing is nine times cheaper per migrated user

Answer. Running Toing as a funnel means accepting that each order loses money and asking whether the users it brings become ₹700-type customers fast enough to repay the loss. They do not. A Toing user costs Swiggy about ₹451 in 12 months M; with 2 in 3 new users incremental S01 F: SW07, the case's own lens (compared with what Swiggy would pay in paid marketing, ₹500 A27 to A36) needs 135% of them to migrate in a year, which is impossible. The lifetime-value lens needs 25% against a likely 15%, and a migrated user costs about ₹4,485, or 9.0 times the paid CAC.

9.1 Building the cost of one Toing user

The build has two parts: a one-off acquisition cost and a monthly loss that decays as users leave. Every figure is from the model M with its assumption tag.

Step	Calculation	Result	Tag
1. Acquisition	Toing install and onboarding cost per user	₹60	A27 to A36
2. Orders a month	Toing user frequency	2.5	A27 to A36

Step	Calculation	Result	Tag
3. Loss a month	2.5 orders × −₹27.33 per order	−₹68.34	M
4. Months active in a year	Sum of 0.85^t for t = 0 to 11, at 85% monthly retention	5.72 months	A27 to A36
5. Order losses in 12 months	₹68.34 × 5.72	₹390.8	M
6. Cost per user, 12 months	₹60 + ₹390.8	₹451	M

Order losses are 87% of that cost; acquisition is 13%. The funnel is therefore a bet on the trip, not on the install, which is the same finding as the triangulation in section 6 seen from the user's side. Cost per user builds over time as follows M.

Horizon, months	1	3	6	12	24	36
Cost per user, ₹	128	236	344	451	506	514

The curve flattens because retention of 85% a month shrinks the user base. Most of the loss is booked in the first year, and the cost at 36 months (₹514) is only 14% above the cost at 12.

9.2 Two lenses, and what each needs

The case asks what share of users must migrate, over what period, and how that compares with the cost of acquiring a customer through marketing (Board expectation B3). We answer under two lenses.

- **CAC lens (the case's own).** A migrated incremental user is worth what Swiggy would otherwise pay to acquire one, ₹500 A27 to A36 F: SW18. Migration needed = cost per user ÷ (incremental share × paid CAC) = ₹451 ÷ (0.67 × ₹500) = 135%.
- **LTV lens (more generous).** A migrated user is worth the lifetime contribution of a core customer: 3 orders a month × ₹53.20 contribution per core order S02 F: SW03 × 16.84 months of expected life (95% monthly retention over 36 months) = ₹2,688. Migration needed = ₹451 ÷ (0.67 × ₹2,688) = 25%.

Horizon, months	Cost per user, ₹	Migration needed, CAC lens, %	Migration needed, LTV lens, %
12	451	135	25
24	506	151	28
36	514	154	29

More than 100% cannot happen, so under the case's own lens no length of horizon rescues the funnel: waiting longer raises the requirement from 135% to 154%. The likely migration is 15% in 12 months A27 to A36, which is our assumption and is tested in Section 9.6. Under the LTV lens the requirement is 25%, two-thirds above the likely 15%.

9.3 Migration needed, by paid CAC and incremental share

The result depends on two inputs Swiggy does not publish: what a paid acquisition costs it, and how many Toing users it would not otherwise have had. Swiggy's CAC is reported in analyst summaries at ₹400 to ₹500 F: SW18; that is a snippet-level source, so the grid runs to ₹900. The incremental share is 33% to 100% around the 67% Swiggy reports F: SW07.

Paid CAC, ₹	33% incremental	50%	67% (base)	100%
400	341	225	168	113
500	273	180	**135**	90
700	195	129	96	64
900	152	100	75	50

Migration needed, % of Toing users, 12-month horizon, CAC lens M. Across the reported CAC range of ₹400 to ₹500, every cell is above 100% except one (₹500 with all users incremental, 90%), and no cell is below 50%, which would already be an extraordinary conversion rate. Extending the CAC range in steps shows where the requirement becomes conceivable.

Paid CAC, ₹	33% incremental	67% incremental	100% incremental
300	455	224	150
500	273	135	90
700	195	96	64
900	152	75	50
1,100	124	61	41
1,200	114	56	38

Even at a CAC of ₹1,200, more than double the reported range, a 67% incremental base needs 56% of users to migrate in a year.

9.4 The value of a migrated user

A user who moves from Toing to ordering ₹700 baskets on the core app is worth the core order's contribution. At 7.6% of GOV S02 F: SW03, a ₹700 order contributes ₹53.20, and a user placing 3 a month with 95% monthly retention A27 to A36 is worth the amounts below.

Horizon, months	Expected life, months	Lifetime contribution per migrated user, ₹
12	9.2	1,467
24	14.2	2,260
36	16.8	2,688

Now turn it around. At 15% migration among the 67% of users who are incremental, each 100 Toing users cost ₹45,078 in 12 months and produce 10 migrants. That is ₹4,485 a migrated user M. To justify it, a migrant would need a lifetime value of ₹4,485, which is 1.67 times the modelled ₹2,688. On the same 100 users Swiggy could buy 10 migrated users through paid marketing for about ₹5,025 (10 × ₹500), so the funnel costs 9.0 times more per migrant. Cost per incremental migrated user is ₹4,485 against a paid CAC of ₹500.

9.5 Generous assumptions, one at a time and all together

A fair test gives the funnel every reasonable benefit of the doubt. We move five inputs in the funnel's favour, first singly and then all at once. The last row combines full incrementality, a ₹900 paid CAC, 70% monthly retention (which shrinks the loss base), 2 orders a month, and a ₹30 acquisition cost M.

Case	Cost per user, ₹	CAC lens, % needed	LTV lens, % needed	Cost per migrant ÷ paid CAC
Base	451	135	25	9.0
Retention 70% a month	285	85	16	5.7
2 orders a month	373	111	21	7.4
100% of users incremental	451	90	17	6.0
100% incremental and ₹900 CAC	451	50	17	3.3
All five generous inputs	210	23	8	1.6

Even the last row, which is not a plausible state of the world, needs 23% of users to migrate under the case's own lens against the 15% we expect, and still costs 1.6 times the paid alternative per migrant. The LTV lens does pass in that row (8% needed). We say so plainly: the funnel clears the bar only under the LTV lens and only when several favourable inputs hold together. Under the lens the Board set, it fails in every row.

9.6 Why the funnel loses on money as well

The funnel path keeps volume flat at 2.4 lakh orders a day and leaves the per-order loss untouched at −₹27.33, with ₹100 Cr a year of paid installs and ₹15 Cr of overhead A37 to A41. Its three-year result is −₹1,140 Cr with the CAC credit and −₹950 Cr with the LTV credit, against Rebuild's +₹1 Cr M. We tested whether more generous inputs change the ordering.

Input changed	Value	Funnel (LTV credit), ₹ Cr	Rebuild, ₹ Cr	Scale, ₹ Cr
Base		−950	+1	−1,744
12-month migration	35%	−639	+70	−1,624
Incremental share	100%	−835	+26	−1,700
Rider pay per solo trip	₹32	−740	+139	−1,744
Customer-paid fees	₹25	−668	+338	−1,744
Paid CAC	₹1,200	−950	+73	−1,618

The best funnel result in the table is −₹639 Cr, and Rebuild beats Funnel and Scale in every row, and in every one of the 45 sensitivity cells the model tests M. The reason is structural. A funnel pays the trip cost on every order and hopes a small share of users repay it later; Rebuild removes most of the trip cost from the order and lets the same users arrive at a small profit. Paid marketing is the cheaper way to buy a ₹700 customer, and Toing's install spend is the part of the loss Swiggy can cut back quickly F: SW08, and Toing's job is to serve the under-₹150 customer at a cost that stands on its own.

10. Evidence base: public data in place of fieldwork, and how Swiggy validates in 90 days

Answer. This document rests on fifteen public sources, read in full where the source allows it, plus the case and the model. No fielded instrument and no store visit was run: the team judged that the trip-cost arithmetic in sections 5 to 9 does not need stated preferences to hold, and that the four inputs public data cannot reach are better handled as assumptions, tested across their full plausible range, than as a small convenience sample dressed up as evidence. Every number that rests on judgment rather than a citation is labelled Est or carries an assumption ID, and section 10.4 sets out the four-city test Swiggy would run in the first 90 days to replace those assumptions with its own data.

10.1 What we used

Fifteen sources carry the numbers in this document. Nine were read in full; the rest are quoted from a snippet or a prior citation, and are marked accordingly wherever they appear.

ID	Source	What it supports	Confidence
S01	Swiggy Q1 FY27 shareholder letter	GOV, adjusted EBITDA, Platform Innovations loss of ₹131 Cr, the Toing description, and the CEO's own quotes on commissions and discipline	Read in full
S02	Inc42, "Swiggy's money map"	Food contribution margin 7.6% of GOV, revenue ₹2,208 Cr	Read, cross-checked against S01
S03	MediaNama, Toing app bill review	The ₹12 platform fee, waived packaging, and the ₹346 versus ₹486 bill on identical items	Read in full
S04	MediaNama, earnings-call takeaways	Majety and Kapoor's remarks on Toing commissions and category growth	Read in full
S05	Storyboard18 citing CLSA and Sensor Tower	33M weekly users, 14.5M downloads, the CLSA rating change	Read in full
S06	MediaNama, Eternal tests Zomato Now pods	Goyal's quotes on rivals' price-driven traction, the pod pilot	Read in full
S07	Entrackr and MediaNama, Snacc shutdown	The wording of Swiggy's own shutdown rationale	Read in full
S08	MediaNama and Business Today, Rapido Ownly	Zero commission, ₹30 fee, 60,000 orders a day, planned Pune launch	Read in full
S09	Deccan Herald, Karnataka gig-worker fee	The 1% fee capped at ₹0.50 an order	Read in full
S10	Inc42 and Angel One, GST on delivery	18% GST on delivery fees from 22 September 2025	Read in full
S11	Delivery-partner pay guides, 2026	Base pay ₹20 to ₹35 an order, ₹15 to ₹90 a trip	Snippet only
S12	Commission guides, 2026	Swiggy base commission 17 to 25%	Snippet only
S13	IIFL, Dunzo batching (2022)	The ₹8 to ₹10 saving from 60-minute batching	Read in a prior project

ID	Source	What it supports	Confidence
S14	Eternal Q1 FY27 results	Food adjusted EBITDA 5.6% of NOV, used only as a rival benchmark	Snippet only
S15	Morwitz, Steckel and Gupta (2007), International Journal of Forecasting	The finding that stated purchase intent overstates purchase behaviour	Textbook citation

Two gaps sit outside this register and stay unfilled rather than guessed at: Toing's own order count, AOV, commission rate and rider payout are not published anywhere, and neither is a measured batching rate for any Indian food-delivery app. Both gaps are carried as numbered assumptions (A01 to A44) and stress tested in section 15, not asserted as fact.

10.2 What public data cannot show

Three behaviours drive the model and none of them can be read off a public filing: how many Toing orders would actually go through a Drop, how many ₹700-type orders would trade down to ₹99, and how many Toing users would migrate to core ordering within a year. Each is carried as an assumption with a base value, and each is tested across a wide range in the model's stress tables, so the recommendation does not rest on getting the exact figure right.

Behaviour	Assumption	Base value	Range tested	Does Rebuild still beat Scale and Funnel across the range?
Drop take-up (share of orders that go through a pooled run)	DROP_SHARE A17 to A26	50%	20% to 80%	Yes, at every value; the three-year result for Rebuild runs from −₹25 Cr to +₹27 Cr while Scale stays at −₹1,744 Cr and Funnel at −₹950 Cr [M: T10]
Trade-down (₹700-type orders that switch to a ₹99 order)	CANNIB A27 to A36	20%	0% to 40%	Yes against Scale and Funnel; against Kill the two paths cross at 26% trade-down, the flip point in table T9
Migration to core ordering within 12 months	MIGRATE_12M A27 to A36	15%	5% to 35%	Yes, at every value tested [M: T10]

The honest reading of that table is that the direction of the call (Rebuild over Scale and Funnel) holds firm across the full range tested, but the size of the win does not, and there is exactly one soft spot: trade-down above 26% would make a shutdown as good as a rebuild on money alone. Section 15.1 carries that flip point alongside six others, and it is the one measurement worth running before the rest.

10.3 Public proxies used instead of fieldwork

Where a fact could not be observed directly, the model uses a proxy already in the public record, on the logic that a real number beats an invented one even when it is not a perfect match.

Proxy	What it stands in for	Reading
MediaNama bill review, ₹346 on Toing versus ₹486 on Swiggy for the same items S03	The fee structure a Toing customer actually sees	Shows the ₹12 platform fee and waived packaging are real, not modelled; used only to confirm the fee stack, not to set the item price

Proxy	What it stands in for	Reading
Swiggy's own "2 in 3 new users on Toing being new to platform or having been dormant" F: SW07	Incrementality of the Toing customer base	Sets NEW_TO_CAT at 0.67, tested from 0.2 to 1.0 in table T10
Sensor Tower downloads and weekly users via CLSA S05	Demand and reach, since Toing does not publish an order count	Used only as evidence of interest; no unit-economics figure is derived from it
Rapido Ownly, ₹30 customer-paid fee at 60,000 orders a day in Bengaluru S08	Whether customers will pay for the trip directly	Supports the door-fee lever's assumption that a ₹20 charge is payable, since a rival already charges more and clears volume
Dunzo's 60-minute batching, saving ₹8 to ₹10 an order S13	Whether batching lowers cost to serve in Indian food delivery	Anchors the lever size for slot batching, at the low end of Dunzo's own range
Instamart's densification, worth about ₹5 an order F: SW19	Whether density alone can close a per-order loss	Anchors the order of magnitude for the Drop-run saving, cross-checked against the model's own per-meal arithmetic

10.4 How Swiggy validates within 90 days

None of this replaces a real test once Swiggy controls the app. The cheapest test is a four-city A/B, because it uses the same dispatch and payment logs already built for the core app, and it can start before any slide is drawn.

Test	Design	Metric read	Source system	Day read	Threshold
Door fee	₹10, ₹15 and ₹20 door fees run in parallel across four cities, one fee per city	Checkout conversion at each fee level	Checkout logs	Day 30	Conversion at ₹15 within 5 points of the no-fee baseline
Drops on or off	Drops switched on in two of the four cities, off in the other two, matched by campus density	Meals per Drop run where Drops are on	Dispatch logs	Day 60	At least 4 meals a run (the parity point where a rider earns as much as solo)
Core-app holdout	A holdout cohort of core-app users sees no Toing promotion; the rest can see it	Trade-down into ₹99 orders, holdout versus exposed	Order history, core app	Day 180	At most 26% (the flip point against Kill)
Scale-up run rate	Dispatch logs across all switched-on cities	Meals per Drop run at scale	Dispatch logs	Day 90	At least 6 (the month-6 gate in section 16)

The same four rows are the month-3, month-6 and month-12 gates in section 16's roadmap: this section states what produces the number, and section 16 states what Swiggy does with it. A design this cheap exists because Swiggy already owns the logs; the team's own constraint was time and the case's rule that no one inside Swiggy or Eternal could be approached for non-public data [C: rule R1], which a Google Form or a checkout screenshot would not have escaped either.

10.5 Honest limits

Limit	What it means	How we handle it
No fieldwork was run	Every behavioural input (Drop take-up, trade-down, migration) is a team assumption, not a measurement	Each is tested across a wide range in table T10, and the recommendation's direction survives every value tested; only the trade-down flip point at 26% is close enough to watch first
Estimates are triangulated, not disclosed	Toing's ₹81 Cr quarterly loss, its order count and its AOV are derived from Swiggy's segment-level figures, not stated by Swiggy	Every such figure is marked Est with its method shown in section 6
Public sources vary in depth	Nine of fifteen sources were read in full; the rest are snippets or a prior citation S11, S12, S13, S14	None of the snippet-grade sources carries a number the recommendation depends on alone; each is cross-checked where the case or another source overlaps it
Two limits that would apply to a fielded instrument do not apply here	With none run, there is no Delhi-versus-Pune sampling question to answer, and no stated-intent bias to correct for	Not applicable; both are noted only so a reader does not look for them

11. Options compared: Scale, Funnel, Kill and Rebuild on the same five tests

Answer. Scored on five tests with weights of 0.35 for value, 0.20 for downside, 0.20 for customer, 0.15 for fence and 0.10 for speed, Rebuild scores 4.25, Kill 3.85, Funnel 2.70 and Scale 2.25 out of 5 M. Scale and Funnel lose on money by a wide margin: −₹1,744 Cr and −₹1,140 Cr (−₹950 Cr on the lifetime-value credit) over three years, against −₹40 Cr for Kill and +₹1 Cr for Rebuild [M: T6]. Rebuild beats Kill by only about ₹41 Cr on money, a gap smaller than the error in several inputs, and it wins the ranking on optionality and the customer, not on arithmetic.

11.1 The four options, defined so they can be compared

The case names three options and allows a fourth [C: O1 to O4]. Each is modelled as a distinct operating path over three years from October 2026, using the same order-economics engine so that the differences come from the choices and not from the modelling.

Path	What Swiggy does	Orders a day (lakh), Y1 to Y3	Contribution per order	Paid install spend a year	Overhead a year
Scale (O1)	Grow Toing as it runs, keep free-delivery pricing and paid acquisition	3.5, 5.0, 6.5 A37 to A41	−₹24, −₹20, −₹17 A37 to A41	₹150 Cr	₹20 Cr
Funnel (O2)	Hold Toing near today's size and accept the loss as acquisition spend	2.4, 2.4, 2.4 A37 to A41	−₹27.3 (today) M	₹100 Cr	₹15 Cr

Path	What Swiggy does	Orders a day (lakh), Y1 to Y3	Contribution per order	Paid install spend a year	Overhead a year
Kill (O3)	Shut Toing; wind-down cost ₹25 Cr; win back part of the trade-down	0	n/a	0	0
Rebuild (O4)	Door fee, batching, Drops, menus, pass, fewer coupons; installs cut sharply	1.8, 2.8, 4.0 A37 to A41	Ramps from −₹27.3 toward +₹5.7 M	₹20 Cr	₹15 Cr

Three modelling choices apply to every path. Each path that keeps Toing users earns the same migration credit, at ₹500 of avoided paid acquisition per incremental user who moves to ₹700-type ordering (the case's own lens [C: B3]). Each path pays for the core orders its Toing orders replace, at a trade-down rate of 20% of Toing orders A27 to A36 times ₹22.8 of core small-basket contribution (7.6% margin on a ₹300 basket) A27 to A36. Kill recaptures 60% of that trade-down once Toing is gone A37 to A41. The base rows of the table use today's order count of about 2.4 lakh a day as the starting point for Kill Est.

11.2 The five tests and why they carry these weights

Test	Question asked	Weight	Why this weight
Value	What is the three-year contribution after path costs?	0.35	The Board's first ask is unit economics and a path to breakeven [C: B1], and the judges give unit economics 30% [C: J1]
Downside	What is the worst case over the bear scenario, and can Swiggy stop it?	0.20	Shareholders bought on a path to profitability C14; consolidated adjusted EBITDA was already −₹651 Cr in Q1 FY27 F: SW21
Customer	Does the option serve the under-₹150 customer, who is real?	0.20	The case asks what Swiggy should do for that customer under Kill [C: O3]; Toing has 33M weekly users F: SW17
Fence	Does the option stop ₹700 orders trading down to ₹99?	0.15	Cannibalisation is the hidden cost of any cheap offer; the model prices it at ₹178 Cr under Scale [M: T7]
Speed	How fast does the option stop the loss or produce a signal?	0.10	The Board wants to know within 12 months whether the call was right [C: B5]

Weights are a judgment, and we say so. A stress test: cutting value to 0.25, raising customer to 0.25 and fence to 0.20 (downside 0.20, speed 0.10) gives Rebuild 4.15 and Kill 3.75 [M: recomputed from the scores]. Rebuild scores at least 4 on every test except speed (3), so it stays first under most reasonable weightings.

11.3 Scores, with the reason for each

Scores run from 1 (worst) to 5 (best) and each carries the model evidence behind it.

Test	Scale	Funnel	Kill	Rebuild	Evidence for the scores
Value (0.35)	1	2	4	5	Three-year totals −₹1,744 Cr, −₹1,140 Cr (CAC credit) or −₹950 Cr (LTV credit), −₹40 Cr, +₹1 Cr [M: T6]. Kill scores 4 and not 5 because it ends with a negative total and no asset
Downside (0.20)	1	2	5	4	Bear case −₹1,673 Cr, −₹1,065 Cr (or −₹913 Cr), −₹40 Cr, −₹121 Cr [M: T6]. Kill is fixed by design; Rebuild has a gate that caps the bear case

Test	Scale	Funnel	Kill	Rebuild	Evidence for the scores
Customer (0.20)	5	4	1	4	Scale serves the most users. Funnel serves today's. Kill serves none through Toing. Rebuild keeps the under-₹150 customer at a price the trip can carry
Fence (0.15)	2	2	5	4	Kill has no cheap offer to trade down to. Scale and Funnel run at 20% trade-down; Rebuild halves it through a separate app and pickup-based pricing A27 to A36
Speed (0.10)	4	5	5	3	Funnel and Kill act at once. Scale reaches volume in 3 years. Rebuild needs 6 months for the density signal

Weighted scores are computed as the sum of weight times score.

Option	Value	Downside	Customer	Fence	Speed	Weighted score
Scale	0.35	0.20	1.00	0.30	0.40	2.25
Funnel	0.70	0.40	0.80	0.30	0.50	2.70
Kill	1.40	1.00	0.20	0.75	0.50	3.85
Rebuild	1.75	0.80	0.80	0.60	0.30	4.25

The margin between Rebuild and Kill is 0.40 on a 5-point scale. Rebuild leads on value (1.75 against 1.40) and customer (0.80 against 0.20), and Kill leads on downside and fence, which is what one expects from an option that removes the exposure. A Board member who puts 0.40 on downside and 0.15 on value ties the two at 4.05, and any more weight on downside puts Kill first; we would not argue with that reader [M: recomputed from the scores above]. The recommendation is a claim that the customer and the option value deserve more weight than that.

11.4 Three scenarios: base, bear and bull

The scenarios change order volume and contribution per order. Bear applies volume × 0.8 and −₹4 an order; bull applies × 1.2 and +₹3 an order A37 to A41. All figures are three-year totals in ₹ Cr.

Scenario	Scale	Funnel (CAC credit)	Funnel (LTV credit)	Kill	Rebuild	Rebuild, gate fails
Bear	−1,673	−1,065	−913	−40	−121	−2
Base	−1,744	−1,140	−950	−40	+1	+7
Bull	−1,794	−1,204	−976	−40	+135	+16

Two features of this table matter. Scale and Funnel do worse in the bull case than the bear case, because a larger business at a loss per order loses more; there is no scenario in which growing a ₹99 order that costs ₹27 to carry helps. And Rebuild is the only path with a spread that includes profit: −₹121 Cr to +₹135 Cr, against a fixed −₹40 Cr for Kill.

Year-by-year in the base case, the timing shows why Rebuild is not a bet that pays quickly.

Path, base	Year 1	Year 2	Year 3	Three-year total	Year 3 exit rate
Scale	−514	−588	−642	−1,744	−642

Path, base	Year 1	Year 2	Year 3	Three-year total	Year 3 exit rate
Funnel (CAC credit)	−380	−380	−380	−1,140	−380
Kill	−88	+24	+24	−40	+24
Rebuild	−56	+17	+39	+1	+39

Rebuild loses ₹56 Cr in year 1 against ₹88 Cr for Kill, is ahead of the break-even line by year 2, and exits year 3 at +₹39 Cr a year against Kill's +₹24 Cr. Kill's positive years come from recapturing core orders that Toing had displaced, not from any income of its own A37 to A41. Rebuild's year 2 (+₹17 Cr) is below Kill's (+₹24 Cr); the lead is built in year 1 and year 3.

11.5 Rebuild against Kill: the plain reading

Rebuild beats Kill by ₹41.2 Cr over three years in the base case, which is +₹0.8 Cr against −₹40.4 Cr M. In the bear case it loses to Kill by about ₹80 Cr (−₹120.8 Cr against −₹40.4 Cr), and in the bull case it wins by about ₹175 Cr. With the 6-month gate, its expected value is +₹3.2 Cr at a 60% probability of passing A42, about ₹44 Cr ahead of Kill's −₹40.4 Cr. If the gate fails, the path becomes Rebuild-then-Kill and finishes at +₹7 Cr in the base case, since the first six months already run at lower volume and lower loss than Kill's own final quarter at today's rate.

Measure	Rebuild	Kill	Rebuild minus Kill
Base three-year total, ₹ Cr	+1	−40	+41
Bear three-year total, ₹ Cr	−121	−40	−81
Bull three-year total, ₹ Cr	+135	−40	+175
Expected value with 60% gate pass, base, ₹ Cr	+3	−40	+44
Gate fails, base, ₹ Cr	+7	−40	+47
Year 3 exit rate, base, ₹ Cr a year	+39	+24	+15

We say plainly what this table means. On the money alone, Rebuild is a small improvement on Kill with a wider spread. A Board that wants the smallest possible loss with no execution risk should choose Kill, and the model gives it a defensible number. The case for Rebuild over Kill rests on three things that the money does not capture. Toing brings in 2 in 3 of its new users as new or dormant to Swiggy F: SW07, and 33M weekly users is an audience Swiggy would give up F: SW17. A fence that keeps ₹700 orders from trading down needs a live cheap offer to sit behind it, and Kill removes the offer and leaves Swiggy's 99 Store on the core app as the only place to catch the demand F: SW11. And Rebuild keeps the option to grow if the density signal is good, at a cost of ₹56 Cr in year 1 M.

The flip points below are the inputs at which Rebuild equals Kill. The three closest to the base are the ones to watch.

Input	Base value	Flip value	Distance from base	Verdict
Rider cost per solo trip	₹40 A05	₹42.4	6%	Close: a ₹2.4 rise erases the lead
Meals per Drop run	10 A17 to A26	5.5	45%	Comfortable

Input	Base value	Flip value	Distance from base	Verdict
Trade-down rate	20% A27 to A36	26%	30%	Moderate
Base commission (plus 3 points)	12% A02	10.8%	10%	Close
Door fee	₹20 A17 to A26	₹16.6	17%	Moderate
Customer-paid fees	₹12 A03	₹10.5	12%	Close
Share of orders at Drops	50% A17 to A26	2%	96%	Not a concern

11.6 The decision tree

The choice can be written as four questions in order. Each maps to a test, an input and a date by which Swiggy will know.

Node	Question	If yes	If no	Evidence and date
1	Can a ₹99 order cover its own trip at any realistic density?	Go to node 2	Kill	Drop run of 4 meals earns +₹2.1 a meal, breakeven 3.3 [M: T3]; known in 3 months from pilot runs
2	Will students accept pickup, slots and a door fee?	Go to node 3	Kill, or Funnel only if the ₹700 conversion beats 25%	The 90-day A/B in section 10.4 and pilot sign-ups; known in 3 months
3	Does the trip cost hold with real riders (₹42.4 or less per solo trip, 5.5 meals or more per run)?	Go to node 4	Fall back to Kill at the month-6 gate	Rider payout audit and run logs; known in 6 months
4	Is trade-down below 26% and the blended contribution positive per order?	Grow Toing only where Drops and the door fee are live	Fall back to Kill	Cohort tracking of ₹250+ orders; known in 12 months

Scale and Funnel never appear as an exit. Funnel needs 135% of Toing users to move to ₹700-type ordering in 12 months on the case's lens, which is impossible, and 25% on the lifetime-value lens against about 15% likely [M: T5; A27 to A36]. Scale fails node 1 by construction, since it grows the order that fails the test.

12. The recommendation: rebuild Toing around the trip, with a six-month gate

Answer. Keep Toing but stop paying for ₹99 trips: rebuild it around pooled Drops and slot batching, and grow it only where the trip pays for itself. The three-year gap between this path and scaling Toing as it runs is ₹1,745 Cr, and 69% of it is order losses M. Rebuild is a small improvement on Kill in money, so it carries a gate at month 6 that returns Swiggy to a clean shutdown if density does not appear.

12.1 The moneyshot: ₹1,745 Cr between Rebuild and Scale

The gap has five components. Each is a difference between two paths in the base case, in ₹ Cr over three years.

Component	₹ Cr	Share of gap	What it is
Order losses	1,200	69%	Scale runs 3.5 to 6.5 lakh orders a day at −₹24 to −₹17 each; Rebuild runs 1.8 to 4.0 lakh a day on a path toward +₹5.7 M
Paid installs	390	22%	Scale spends ₹150 Cr a year on acquisition; Rebuild spends ₹20 Cr M
Trade-down	178	10%	Scale runs more orders at a 20% trade-down rate; Rebuild runs fewer at half that rate M
Overhead	15	1%	₹20 Cr a year against ₹15 Cr M
Migration credit	−39	−2%	Scale earns more credit for users who move to ₹700-type ordering, so the gap narrows M
Total	1,745	100%	Rebuild +₹1 Cr against Scale −₹1,744 Cr [M: T7]

The sentence for the Board is this: ₹1,590 Cr of the gap is the cost of orders and installs Swiggy would choose to buy, and the remaining ₹155 Cr net is trade-down, overhead and the migration credit.

12.2 The phased design: five moves in three phases

The seven levers in Section 7 are sequenced by who controls them and how fast they can move. The first phase uses only levers Swiggy holds; the second builds the physical network; the third asks customers to commit.

Phase	Move	What changes for the customer	Effect per ₹99 order (model sequence)	Who controls
Days 0 to 30	Door fee of ₹20 outside Drops	Pays ₹20 more for a doorstep trip	+₹8.3	Customer decides
Days 0 to 30	Slot batching of door orders	Waits 8 to 12 minutes more	+₹7.2	Swiggy
Days 0 to 30	Fewer coupons, everyday low price	Smaller coupons, lower list prices	+₹2.0	Swiggy and restaurants
Days 0 to 30	Freeze on paid installs	None	Installs at ₹20 Cr a year against Scale's ₹150 Cr A37 to A41	Swiggy
Days 30 to 90	Pooled Drops: 40 pilot sites (hostel gates, PG lobbies, office desks) in four cities	Walks up to 5 minutes to collect	+₹9.7	Swiggy and Drop host
Days 30 to 90	Fixed menus and kitchen partners	Less choice, cheaper meals	+₹3.4	Restaurants
Days 30 to 90	Ad load from 1% to 2.5%	None	+₹1.5	Restaurants

Phase	Move	What changes for the customer	Effect per ₹99 order (model sequence)	Who controls
Days 90 to 180	Toing Pass at ₹49 a month	Free delivery on unlimited meals under ₹150	+₹1.0	Customer decides

Together the levers take the order from −₹27.3 to +₹5.7 blended [M: T2]. In that sequence the phase-one moves supply ₹17.5 of the ₹33.1 improvement, or 53%, so the levers Swiggy can move without anyone's permission do a little over half the work. The Drop economics carry the rest. A run of 10 meals costs ₹9.4 of rider per meal plus a ₹4 host fee and earns +₹7.2 a meal; breakeven is 3.3 meals a run; rider earnings per hour rise from about ₹80 on solo trips to about ₹125 on Drop runs [M: T3, rider hourly; A43, A44]. That last number matters for supply: a rider who earns more per hour at a Drop has a reason to accept the run.

12.3 Why the moves come in this order

The order follows two rules. First, fix what Swiggy can change without anyone's permission before asking restaurants or customers to accept a worse experience [C: B2]. Second, start the physical network only after the door economics have stopped the loss, so that Drops are a growth lever and not a rescue.

Constraint	Consequence for the design
Rider pay is roughly fixed per trip C01	Only density (meals per run) or a fee can change the trip cost per order
A Drop is a walk, not a wait	Drops go where 5-minute walks exist: hostels, PG lobbies, offices
Restaurants set menus and ads	These levers wait until day 30, when the pilot volume gives restaurants a reason to agree
Customers pick Drops, door fee and pass	The design offers a cheaper option and a costlier one, so nobody is forced

12.4 The fence argument: keep a separate app, and say why

The question a judge will ask is why a separate app, when Swiggy's own 99 Store shows a flat-price offer inside the core app F: SW11. There are three answers, and one is a concession.

The first is trade-down. The model prices each ₹300 basket that shifts to ₹99 at a loss of ₹22.8 of core contribution (7.6% of GOV on ₹300) A27 to A36. Inside the core app, 19.2M monthly transacting users F: SW04 see the same ₹99 option next to their usual ₹700 dinner. A separate app makes the cheap offer a deliberate choice. The model halves the trade-down rate for that reason (20% becomes 10%). On Rebuild's own volume of 8.6 lakh order-days a year summed over three years, the halving is worth about ₹72 Cr (₹143 Cr at 20% against ₹72 Cr at 10%) [Est: recomputed from model inputs]. The trade-down assumption is the one input worth testing first through the core-app holdout in section 10.4, which reads the switch directly rather than a stated preference.

The second is the pricing rules. Toing can run a different commission (the CEO said commissions "need to be different from the Swiggy platform" F: SW13), a door fee and a pass, and a pickup-based model, without changing the core app's terms for 265.8k restaurants F: SW04.

The third is the framework. In Ansoff's terms, this is market penetration into a segment Swiggy under-serves: the same delivery service and the same restaurants, sold to students and young earners who order often but not at ₹700 C02. It needs no new capability, unlike Snacc, which needed micro-kitchens F: SW10.

The separate app is how the cheap offer stays a distinct choice and does not become the default price inside the core app.

Ansoff cell	How Toing fits	Judgment
Market penetration	Same delivery service and same restaurants, sold to a segment Swiggy under-serves, through a separate offer	Closest fit; needs no new capability
Market development	About 50 cities today F: SW07 ; the plan adds cities only where Drops pay	A later step, gated by density
Product development	Drops are a delivery format, not a new product line	Adds a format only
Diversification	Snacc needed micro-kitchens and was shut F: SW10	Not pursued

The concession is that the fence has a cost. A separate app cannot cross-sell to the core app as cheaply as an in-app tile, and a user who never opens the core app never sees a ₹700 menu. If Swiggy's own holdout data show students strongly prefer an in-app option, the fence argument weakens, and the gate should test a version inside the core app instead of assuming the separate app is right.

12.5 The month-6 gate: numbers, dates and the fallback to Kill

The gate is what makes Rebuild a defensible choice over Kill. It sets thresholds from the flip points, so that a pass means the path still beats Kill and a failure means it does not.

Signal	Base assumption	Gate threshold (Rebuild still beats Kill)	Month checked	If missed
Rider cost per solo trip	₹40	₹42.4 or less	3	Hold the door fee, delay Drops
Meals per Drop run	10	5.5 or more	3 and 6	Fall back to Kill at month 6
Trade-down of ₹250+ orders	20%	26% or less	6	Fall back to Kill
Customer-paid fees per order	₹12	₹10.5 or more	3	Repair fee design
Door fee accepted outside Drops	₹20	₹16.6 or more, with volume held	3	Reduce ₹20 to ₹17, re-test
Drop-run contribution per meal	+₹7.2 at 10 meals	Above zero (breakeven 3.3 meals a run)	3 and 6	Fall back to Kill

Two of these thresholds sit close to the base. Rider cost per solo trip has 6% of room (₹2.4), and customer-paid fees 12% (₹1.5), so those are the first two lines Swiggy audits, using its own payout data. The behavioural inputs (trade-down, pickup, fee tolerance) will read faster from the four-city A/B in section 10.4 than from any external study.

The fallback is a clean shutdown along the Kill path: wind-down cost ₹25 Cr, and recapture of 60% of the displaced core orders A37 to A41 . In the model the gate-fail path finishes at +₹7 Cr in the base case (–₹2 Cr bear, +₹16 Cr bull), because the first six months already run at lower volume than today's [M: T6]. We do not rely on that number. The floor we rely on is that the gate stops the path before year 2 spending begins, so

the exposure at the point of exit is bounded. In the base case the gate-fail path loses ₹41 Cr in year 1 against ₹88 Cr for Kill [M: T6].

Outcome at month 6	Probability	Three-year result, base, ₹ Cr	Weighted
Gate passed, continue	60% A42	+1	+0.5
Gate failed, shut down	40%	+7	+2.7
Expected value			+3.2

The base-case table needs a plain reading: continuing after the gate (+₹1 Cr) scores below stopping at the gate (+₹7 Cr) inside the three-year window, because the first six months already run at lower volume than today's. What continuing buys is the year-3 exit rate of +₹39 Cr a year against Kill's +₹24 Cr, the bull case of +₹135 Cr, and the customer. The 60% is an assumption for the option value only and is not used in any other number. If the pass probability is 30%, the expected value stays near +₹5 Cr, because the fallback pays about the same as the pass in the base case, and that is the sense in which the gate caps the downside [M: recomputed].

13. Competition: Eternal holds back today, Rapido Ownly is the sharper threat

Answer. Eternal's dominant response to a rebuilt Toing is to keep holding back and to copy the Drop idea through office pods and lower Gold thresholds, because a Toing clone would import the same ₹27 trip that Swiggy is trying to remove. Rapido Ownly is the sharper threat, because at 0% commission and a ₹30 trip fee it moves the trip cost onto the customer, which is our door-fee lever, and it is planning Pune, Toing's launch city. Swiggy's position against Eternal is better after Rebuild than before, mainly because the loss that CLSA and shareholders read as Toing's drag falls from about ₹81 Cr a quarter toward a break-even trip.

13.1 What Eternal has said and done

Eternal has not launched a Toing rival [C: Eternal has no Toing rival]. The public record on its position is consistent, and some of it is thin, which we label.

Evidence	What it says	Confidence
Zomato Everyday (₹89 meals) and Zomato Quick shut in May 2025 C11	It could not see either turning profitable without hurting the customer experience	Case fact
Goyal on rivals' traction: "purely price-driven" S06	Eternal reads cheap-app growth as bought with lower commissions and delivery fees	Read in full
Goyal on Quick: "The current restaurant density and kitchen infrastructure is not set up for delivering orders in 10 minutes" S06	Eternal exits when density does not carry the cost	Read in full
Zomato Now pilot: vending pods in Gurugram offices with external food brands, no doorstep trip F: CR04	Eternal is testing a delivery format with no last-mile trip	Read in full

Evidence	What it says	Confidence
Eternal CFO: not convinced a Toing-like platform solves a clear problem; Bistro used instead F: CR02	No separate budget app is planned	Snippet only
Gold free-delivery threshold cut to ₹99 from ₹199, more sub-₹250 options F: CR06	The same customer is being pursued inside the main app	Snippet only; verify before quoting
Eternal Q1 FY27: food delivery NOV ₹10,769 Cr, adjusted EBITDA 5.6% of NOV F: CR01	It is profitable enough to wait	Snippet only

The pattern is that Eternal builds cheap formats that carry no rider trip and shuts the ones that do. Pods and Gold thresholds fit that pattern. A Toing clone does not.

13.2 The payoff matrix: Swiggy's three paths against Eternal's three responses

We have no data on Eternal's internal economics, so the payoffs below are ordinal rankings from 1 (worst) to 4 (best) for each side, and they express our judgment and not a model output [Est: ordinal judgment]. The point of the matrix is which response dominates, not how much it is worth.

Swiggy path, Eternal response	Hold back and copy the format (pods, Gold ₹99)	Launch a budget clone	Cut core prices to defend
Rebuild	Swiggy 3, Eternal 3	Swiggy 4, Eternal 1	Swiggy 3, Eternal 2
Scale as it runs	Swiggy 1, Eternal 4	Swiggy 1, Eternal 2	Swiggy 1, Eternal 3
Kill	Swiggy 2, Eternal 4	Swiggy 2, Eternal 3	Swiggy 2, Eternal 3

The reasoning for each cell follows one logic. Against Rebuild, a clone hurts Eternal most, since it would import trips costing ₹40 for a ₹99 basket and meet a Swiggy that has already found the fix, so Swiggy ranks 4 there and Eternal 1. Against Scale, Eternal's best move is to do nothing and watch Swiggy lose about ₹1,744 Cr over three years [M: T6]; that is the "hold back" ranking of 4. Against Kill, Eternal gains most from a Swiggy that has left the under-₹150 customer to it. On this matrix hold back and copy strictly dominates Eternal's other two responses: it scores 3 against 1 and 2 when Swiggy rebuilds, 4 against 2 and 3 when Swiggy scales, and 4 against 3 and 3 when Swiggy kills. Rebuild is also Swiggy's best reply to each of Eternal's three responses (3, 4 and 3 against 1 or 2 for the alternatives).

What this means for the recommendation: a rebuilt Toing does not provoke the response that would hurt, and Scale and Kill both leave Eternal better off than Rebuild does. If Eternal copies Drops through pods, it validates the density thesis and competes for the same office and hostel desks, which is a reason to move to those 40 pilot sites first.

13.3 Rapido Ownly is the sharper threat

Ownly launched citywide in Bengaluru on 3 March 2026, runs at zero commission and a flat ₹30 delivery fee to the customer, does 50,000 to 60,000 orders a day in Bengaluru, launched in Hyderabad with 10,000 restaurants, lists Pune among planned cities, and now sits inside the Rapido app F: CR07. It is sharper than Eternal for three reasons.

Dimension	Toing (today)	Toing (rebuilt)	Rapido Ownly
Who pays for the trip	Swiggy, ₹40 a trip A05	Customer via ₹20 door fee outside Drops; Drop hosts and density inside	Customer, ₹30 flat fee

Dimension	Toing (today)	Toing (rebuilt)	Rapido Ownly
Restaurant commission	12% base A02	12% plus 3 points at the redesign A17 to A26	0%
Customer-paid fees on ₹99	₹12 platform fee	₹12 plus ₹20 door fee outside Drops	₹30
Pune	Launch city	Pilot city	Planned

First, Ownly's model matches our lever. Its ₹30 fee on a ₹99 meal is what a customer-paid trip looks like, and it shows that customers will pay it, at least in Bengaluru. That helps our door-fee assumption of ₹20 and hurts our position, because we are making the same move a year later against a rival with no commission at all. Second, restaurants gain from Ownly's zero commission, and the commission input has little room: the flip point where Rebuild equals Kill is a base commission of 10.8% against 12% assumed [M: T9], so a concession of 1.2 points erases the ₹41 Cr lead. Third, Ownly is planning Pune, where Toing launched.

Ownly is also less certain than it looks. A 0% commission model invites the question Rohit Kapoor put about zero commission on Toing: "If it is zero commission, then who pays for platform costs? Somebody has to pay." F: SW15. Its 50,000 to 60,000 orders a day in Bengaluru F: CR07 is a fraction of Toing's estimated 2.4 lakh a day [M: T4], though Toing's figure spans about 50 cities F: SW07. And Eternal's own view of such traction is "purely price-driven" S06.

Ownly move	What it does to Rebuild	Our reply
Enters Pune	Puts a ₹30 competitor on the same campuses	Drops and pickup are cheaper for the customer than ₹30 at the door; hold the door fee at ₹20 or lower
Recruits Toing's restaurants at 0%	Commission flip point at 10.8% comes into play	Offer volume through Drops and fixed menus instead of matching zero; drop the 3-point uplift for the top kitchens
Wins on delivery speed	Slot batching adds 8 to 12 minutes	Position slots as the cheaper option, keep an express option at the door fee

13.4 Swiggy's position against Eternal, before and after

The table sets out what changes for Swiggy under Rebuild. The before column uses public figures and the model's estimate; the after column uses model paths.

Dimension	Before (Toing as it runs)	After Rebuild	After Kill
Platform Innovations adjusted EBITDA	−₹131 Cr in Q1 FY27, against −₹58 Cr in Q4 FY26 F: SW06	Toing's part shrinks; year-1 total for Toing −₹56 Cr, against about −₹324 Cr a year at today's rate [M: T4, T6]	Toing's part ends after a ₹25 Cr wind-down
Toing's estimated quarterly loss	About ₹81 Cr Est	Falling toward a break-even order	Zero after wind-down
Audience	33M weekly users; 14.5M downloads in the quarter against 12.4M Zomato and 10.1M Swiggy F: SW17	Smaller, paying for its own trips	Lost, except through the core 99 Store F: SW11
New users	2 in 3 new to platform or dormant F: SW07	Kept, at a lower install spend	Lost

Dimension	Before (Toing as it runs)	After Rebuild	After Kill
Analyst read	CLSA downgraded Swiggy to Hold citing Toing's effect on contribution margin F: SW17	The drag on contribution margin shrinks	The drag ends
Versus Eternal	Eternal profitable at 5.6% of NOV F: CR01 ; Swiggy food delivery at 3.1% of GOV F: SW02	Swiggy keeps the budget segment without buying it	Swiggy leaves the segment to Eternal and Ownly

The two margins are not like for like: Eternal's 5.6% is on net order value and Swiggy's 3.1% is on gross order value F: CR01, SW02 . We show both because a Board member will see them side by side.

The competitive claim is limited. Rebuild does not beat Eternal in the core; it removes the option for Eternal to watch Swiggy lose money on a segment it does not have to serve. The Board asked what Eternal's most likely response is [C: B4]. Ours is that it holds back, copies the format through pods and Gold, and does not clone the app, and the signals that would change that read are an Eternal budget app or a Gold threshold below ₹99, both visible in public announcements.

14. Regulation: the labour codes and Karnataka add under 1% of a ₹99 basket

Answer. Regulation adds about ₹0.35 an order on Toing in Pune under the Code on Social Security, and about ₹0.85 where Karnataka's ₹0.50 fee also applies, which is 0.35% to 0.85% of a ₹99 basket M . Even on the harshest reading of the Code (the levy applied to customer-paid turnover) the cost is ₹1.74 an order, against a trip-cost problem of ₹27.3 an order. Regulation changes the margin of safety, not the decision, but a compounded regulatory shock can erase Rebuild's ₹41 Cr lead over Kill, so we size it and watch it.

14.1 What the Code on Social Security requires, and how we model it

The Code has been in force since 21 November 2025 C12 . Aggregators contribute 1 to 2% of annual turnover to gig-worker welfare, and the contribution is capped at 5% of what the aggregator pays those workers C12 . Swiggy booked a one-time Labour Code impact of ₹10 Cr in Q4 FY26 as an exceptional item F: CR10 S01 , which tells us the company already treats the Code as a cost line, and a small one against a food delivery adjusted EBITDA of ₹292 Cr a quarter F: SW02 .

Two readings of "annual turnover" matter, and the case does not settle them. Our base reads turnover as Swiggy's revenue (commission, fees and ads), because that is what an aggregator books as its own turnover A20 . The harsher reading treats turnover as everything the customer pays, including the restaurant's food value. We model both and show the second as an upper bound, not a forecast. The 5% cap is the same in both readings and is what keeps the harsh case bounded.

Parameter	Value used	Basis
Levy rate, base	1.5% (midpoint of 1 to 2%)	C12 A20
Turnover, base	Swiggy revenue per order: ₹23.04 (Toing), ₹166.34 (core)	M
Turnover, upper bound	Customer-paid total: ₹115.95 (Toing), ₹700 (core)	M
Cap	5% of rider pay: ₹2.00 on a ₹40 trip, ₹2.10 on a ₹42 trip	C12 A05

Parameter	Value used	Basis
Rider pay per solo trip	₹40 Toing, ₹42 core	A05 M

14.2 Per-order cost across the full range of the Code

The table crosses the three legal rates with the two turnover bases. Every cell is the model's arithmetic: rate times turnover, then the 5% cap M. The core order hits its cap under almost every reading, because a ₹700 order generates far more turnover than its ₹42 rider trip can support under a 5% ceiling. The Toing order does not, until the levy is applied to customer-paid turnover at 2%.

Reading	Toing ₹99, revenue basis	Toing ₹99, customer-paid basis	Core ₹700, revenue basis	Core ₹700, customer-paid basis
1.0% of turnover	₹0.23	₹1.16	₹1.66	₹2.10 (cap; uncapped ₹7.00)
1.5% of turnover (base)	₹0.35	₹1.74	₹2.10 (cap; uncapped ₹2.49)	₹2.10 (cap; uncapped ₹10.50)
2.0% of turnover	₹0.46	₹2.00 (cap; uncapped ₹2.32)	₹2.10 (cap; uncapped ₹3.33)	₹2.10 (cap; uncapped ₹14.00)
Ceiling under the 5% cap	₹2.00	₹2.00	₹2.10	₹2.10

Read the last row first. Whatever the Code's turnover definition, no Toing order can carry more than ₹2.00 of levy while the rider is paid ₹40, which is 2.0% of a ₹99 basket M. The redesign lowers that ceiling. A Drop meal carries about ₹9.40 of rider cost M, so a cap on rider pay alone would be about ₹0.47 a meal. The model conservatively passes the ₹4 host fee through the same cap, which gives ₹0.67 M. Pooled Drops shrink the regulatory base along with the trip cost, a point the Board can use when Legal asks whether the new format raises Code exposure (it lowers it).

14.3 Karnataka, Maharashtra and the state-by-state picture

Karnataka has legislated its own per-transaction welfare fee C13. The Platform-Based Gig Workers (Social Security and Welfare) Act sets the fee at 1% per transaction, capped at ₹0.50 per food or grocery order, effective 13 February 2026, and the Karnataka High Court directed deposit within three weeks in July 2026 F: CR08 S09. At a ₹99 basket 1% would be ₹0.99, so the cap binds and the fee is ₹0.50.

Toing launched in select Pune areas F: SW16. Pune is in Maharashtra, and we found no per-transaction gig-worker fee for Maharashtra in the public sources we collected F: CR08. That is an open item, not a finding that none exists. We handle it three ways. The base case charges Toing's Pune orders only the Code levy. The sensitivity in section 14.6 charges ₹0.50 on every Toing order as if Maharashtra copied Karnataka. And the 30-day roadmap in section 16 gives Legal and Public Policy the task of confirming Maharashtra's status in writing before day 30.

Jurisdiction	Instrument	Rate and cap	Applies to Toing in Pune today	Cost per ₹99 order
Union of India	Code on Social Security, from 21 Nov 2025 C12	1 to 2% of turnover, capped at 5% of rider pay	Yes	₹0.35 (base), ₹2.00 (ceiling) M

Jurisdiction	Instrument	Rate and cap	Applies to Toing in Pune today	Cost per ₹99 order
Karnataka	Gig Workers Act, effective 13 Feb 2026 F: CR08 S09	1% per transaction, capped at ₹0.50 a food order	No for Pune orders; yes for any Bengaluru order	₹0.50 M
Maharashtra (Pune)	No per-transaction fee found in our sources	Unknown	Open item	₹0 in base; ₹0.50 tested
Union of India	GST at 18% on local delivery services, section 9(5), from 22 Sep 2025 F: CR09 S10	18% of the fee	Yes, on every customer-paid fee	Already inside the ₹12 platform fee M

14.4 GST on delivery fees: already in the model, and it shapes the door fee

GST at 18% has applied to local delivery services supplied through e-commerce operators since 22 September 2025, adding about ₹2 an order at Zomato and ₹2.6 at Swiggy on fees of about ₹11 to ₹12 and ₹14.5 respectively F: CR09 S10. Our model treats every customer-paid fee as GST-inclusive and strips the tax before it books revenue A03 M. The ₹12 platform fee nets to ₹10.17 of revenue with ₹1.83 to the exchequer, and the ₹20 door fee nets to ₹16.95 with ₹3.05 to the exchequer. Restaurants bear GST on commission too: on a ₹99 order the restaurant keeps about ₹84 after commission, the 18% on that commission, and ads M.

This matters for the door fee lever in section 7. The +₹8.26 that the door fee adds to the blended order is already net of GST M. The flip value of ₹16.64 M is also a gross figure, so the door fee can slip about ₹3.4 (17%) before Rebuild loses to Kill, and every rupee of that slip costs about ₹12 Cr over three years M. A fee displayed excluding GST would be an upside of about ₹1.5 on the blended order (half of ₹3.05, since about half of orders are door orders A17 to A26), but the customer would then see ₹23.6, and we do not bank it.

GST item	Rate	Where it sits in a ₹99 order	Amount M
Food, collected by the platform	5%	On the item total	₹4.95
Platform fee ₹12, inclusive	18%	Inside the customer fee	₹1.83
Door fee ₹20 outside Drops, inclusive	18%	Inside the customer fee	₹3.05
Commission (12% today, 15% redesigned)	18%	Charged to the restaurant	₹2.14 today
Government take on today's ₹99 order	n/a	Sum of the first, second and fourth rows	₹8.92

14.5 Regulation against the trip-cost problem

The right comparison for the Board is the size of each cost line against the loss it sits inside. Regulation is real and growing, but at these orders of magnitude it cannot be the reason to kill Toing, and it cannot be the reason to keep scaling it either.

Cost line on a ₹99 Toing order	₹ per order M	% of ₹99 basket	Share of the ₹27.3 loss
Rider pay	40.00	40.4%	146% (larger than the loss)
Platform-funded discount	4.00	4.0%	15%
Support and refunds	2.99	3.0%	11%
CoSS, base	0.35	0.35%	1.3%

Cost line on a ₹99 Toing order	₹ per order M	% of ₹99 basket	Share of the ₹27.3 loss
Karnataka fee cap	0.50	0.51%	1.8%
CoSS, customer-paid basis	1.74	1.76%	6.4%
CoSS ceiling (5% of rider pay)	2.00	2.02%	7.3%

The rider line is 40.4% of the basket M, the number behind the case's first sentence C01. Regulation's base cost is about a hundredth of it.

14.6 Regulatory sensitivity: what if the levy widens, what if a per-order fee doubles

We ran each shock through the full three-year model. Each extra ₹1 of per-order cost on Rebuild's volumes (1.8, 2.8 and 4.0 lakh orders a day over three years A37 to A41) costs about ₹31.4 Cr, because those volumes add up to 31.4 Cr orders. The same ₹1 costs Scale about ₹54.8 Cr on its larger volumes, so a rising fee schedule hurts the Scale path 1.7 times as much per rupee.

Scenario	Extra cost on a Toing order	Rebuild 3-year total, ₹ Cr M	Kill, ₹ Cr	Rebuild minus Kill, ₹ Cr	Verdict
Base: CoSS 1.5% of revenue, no state fee in Pune	none	+1	−40	+41	Rebuild ahead
CoSS at 1% of revenue	−₹0.11	+6	−40	+46	Rebuild ahead
CoSS at 2% of revenue	+₹0.11	−5	−40	+35	Rebuild ahead
CoSS at 1.5% of customer-paid turnover	+₹1.39	−19	−40	+21	Rebuild ahead, lead halved
CoSS at 2% of customer-paid turnover (cap binds)	+₹1.65	−20	−40	+21	Rebuild ahead, lead halved
Maharashtra copies Karnataka: ₹0.50 on every Toing order	₹0.50	−15	−40	+26	Rebuild ahead
A per-order fee doubles to ₹1.00 on every order	₹1.00	−31	−40	+10	Rebuild ahead, thin
Customer-paid CoSS at 1.5% plus ₹0.50 on every order	₹1.89	−35	−40	+5	Near tie
Customer-paid CoSS at 1.5% plus ₹1.00 on every order	₹2.39	−51	−40	−10	Kill ahead

The extra cost column is measured on today's order for the CoSS rows and is a flat add-on for the fee rows; the totals come from re-running the paths with the changed input M. Two readings follow. First, no single regulatory shock flips the answer, and the worst single shock (the levy on customer-paid turnover) halves the lead without removing it. Second, the compound case (customer-paid levy plus a doubled per-order fee) does flip it, by about ₹10 Cr, and that is the case where the month-6 gate matters most. If the Code's final rules or a state's gig-worker fee move toward it before month 6, the gate should be read against the shifted totals. Because a flat per-order fee costs Scale ₹55 Cr for every ₹1 against ₹31 Cr for Rebuild, regulation widens the ranking of Rebuild over Scale even as it narrows Rebuild's lead over Kill.

What we do about it. Legal and Public Policy tracks three things through the roadmap: the Code's final rules on the turnover definition, Maharashtra's status, and any change to Karnataka's ₹0.50 cap. The Board's

decision rule is simple. A regulatory move that costs more than about ₹1.30 an order on Toing (₹41 Cr divided by 31.4 Cr orders) needs a fresh Rebuild versus Kill comparison, and one that costs less is absorbed inside the plan.

Sources: Karnataka Act S09 *; GST rules* S10 *; Swiggy Q1 FY27 letter* S01 *; model outputs* M *.*

15. What would change our mind: three flip points, each visible within 90 to 180 days

Answer. The recommendation flips to a shutdown if any one of three assumptions breaks: the rider cost of a solo trip is above about ₹42 (assumed ₹40), Drop runs average fewer than about 5.5 meals (assumed 10), or the share of Toing orders that replace a ₹700-type core order is above about 26% (assumed 20%). Swiggy can measure the first two from its own dispatch logs within 90 days and the third from a holdout cohort within 180 days. A fourth condition, restaurants refusing a higher commission, moves the result but does not flip it alone [M, T9].

15.1 Flip-point table

A flip point is the value of one input at which the three-year result of the rebuild equals the three-year result of a shutdown (Kill), holding every other input at its base value. It is found by bisection in `toing_model.py` (`flip_points`) M .

Input	Assumed value	Flip value	Headroom	Read
Rider pay per solo trip A05	₹40	₹42.4	+6%	Thinnest cushion. A 6% rise in rider cost erases the edge over Kill
Meals per Drop run A21	10	5.5	−45%	Wide cushion. Runs can be half as full as planned
Trade-down share of Toing orders A35	20%	26%	+6 points	Moderate. Needs a holdout to measure
Base commission on Toing A02	12% (plus 3 points from menus)	10.8%	−1.2 points	Close. A restaurant refusal of the uplift alone is not fatal, a cut below 10.8% is
Door fee outside Drops A24	₹20	₹16.6	−₹3.4	Moderate. Ownly already charges ₹30 S08
Customer-paid fees per order A03	₹12	₹10.5	−₹1.5	Close. A fee waiver war removes the edge
Share of orders at Drops A17	50%	2%	−48 points	Very wide. Drops matter little to the flip, they matter to the size of the win

Two things follow. First, the rebuild is fragile on the price side (rider cost, commission and fees each have under 10% of headroom) and well protected on the density side (Drop share and run size have wide cushions). That is the honest reading of "Rebuild beats Kill by only ₹41 Cr". Second, the fragile inputs are exactly the ones Swiggy can observe fastest, because they sit in payout logs and the checkout, not in customer behaviour.

15.2 Three-year result across the ranges of each flip input

Input	Low value	R at low	High value	R at high	Kill (K)
Rider pay per solo trip	₹32	+139	₹48	−138	−40
Base commission	8%	−122	18%	+184	−25 to −55
Trade-down share	0%	+72	40%	−71	−106 to +25
Meals per Drop run	4	−75	12	+9	−40
Customer-paid fees	₹0	−310	₹25	+338	+2 to −60
Share of orders at Drops	20%	−25	80%	+27	−40

All figures ₹ Cr over three years from October 2026 [M, T10]. Kill moves with trade-down and fees because a shutdown also recaptures core orders or forfeits fee income.

15.3 The 3, 6 and 12-month scorecard

Each gate names the metric, its source inside Swiggy, the pass threshold and what happens on a miss. Thresholds are set slightly inside the flip points so a miss triggers action before value is destroyed.

Gate	Metric	Source	Pass	On a miss
Month 3	Share of door orders batched in pairs A18	Dispatch logs	At least 50%	Widen the slot window, add a ₹5 batch credit
Month 3	Meals per Drop run	Dispatch logs	At least 4 (breakeven 3.3, rider parity 4.3)	Merge low-volume sites, raise host fee to ₹6
Month 3	Solo rider cost per trip	Payout ledger	At most ₹42	Rebase incentives, cap peak-hour bonuses
Month 6	Meals per Drop run	Dispatch logs	At least 6 (flip 5.5)	Kill decision meeting; default is shutdown
Month 6	Blended contribution per order	Finance	At least −₹5 (base path averages −₹2.5 across year 1)	Kill decision meeting
Month 6	Trade-down from a core-app holdout cohort	Experiment platform	At most 26%	Add a minimum-basket rule for core users, else shut
Month 12	Blended contribution per order	Finance	At least +₹3	Freeze expansion, stay in current cities
Month 12	Toing users who place a ₹400+ order on the core app within 12 months	CRM	At least 10% (assumed 15%)	Stop counting migration in the case for Toing
Month 12	Toing orders per day	Finance	At least 2.8 lakh (base plan)	Cut paid installs to zero

15.4 The kill rule

The month-6 gate is a hard rule. If either the Drop-run metric or the contribution metric misses, the Board reviews a shutdown and the default is to shut. The cost of the fallback is small: the gate-failure path in the model finishes at +₹7 Cr over three years in the base case, because the app is wound down after six months of the rebuild at a one-time cost of ₹25 Cr [M, `R_fail`]. This is the sense in which the recommendation caps its own downside near the Kill path: the maximum regret from trying is about the ₹56 Cr of year-one loss on the rebuild path, against ₹514 Cr of year-one loss if Toing is scaled as it runs `M`.

15.5 What would not change our mind

Evidence	Why it does not flip the call
Toing's weekly users keep growing	Reach is not the problem. Every additional ₹99 order at today's trip cost adds a ₹27 loss `M`
A rival cuts its price further	Ownly's model shifts the trip cost to the customer (₹30 fee), which supports the door-fee lever rather than contradicting it `S08`
The share of new-to-platform users rises above two-thirds	It lowers the cost of the funnel argument but not the per-order loss, and the funnel still costs 9.0 times paid CAC per migrated user at 15% migration [M, T5]
Higher paid CAC (₹700 or ₹900)	Helps the funnel but not enough: at ₹900 and all users new, 50% must still migrate in twelve months [M, T5]

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16. Implementation roadmap: switch on four levers in 30 days, prove Drops by day 90, decide at month 6

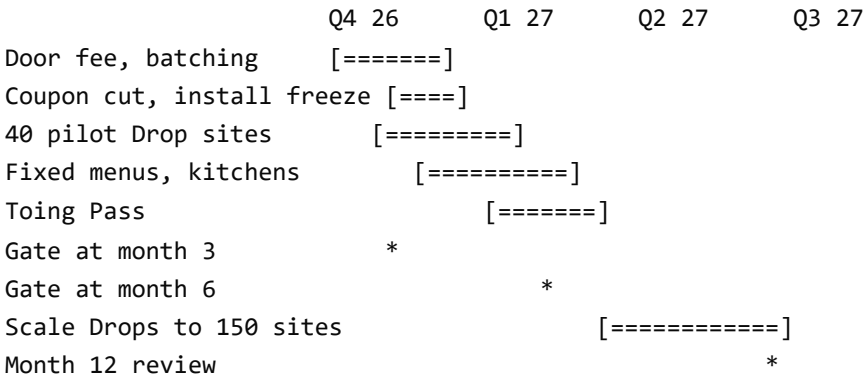
Answer. The plan has three horizons: 30 days for the levers Swiggy controls alone (door fee, slot batching, coupon reduction, install freeze), 90 days to prove pooled Drops at 40 sites in four cities, and 365 days for the gate decisions and controlled expansion. Owners are named by role. The first-year investment is small because installs are frozen: paid acquisition falls from an estimated ₹150 Cr under scaling to ₹20 Cr under the rebuild `A38, A41`.

16.1 Horizon plan

Horizon	Action	Owner (role)	KPI	Gate
Days 1 to 30	Introduce a ₹20 door fee outside Drops	Toing product lead	Fee take rate, order drop-off	Order loss under 15%
Days 1 to 30	Turn on slot batching (two-order windows)	Head of delivery operations	Batched share of door orders	50% by day 60
Days 1 to 30	Cut platform-funded coupons from ₹4 to ₹2 an order	Growth lead	Coupon cost per order	Retention drop under 3 points
Days 1 to 30	Freeze paid installs, keep organic and referral	CMO	Paid CAC spend	Zero paid Toing installs

Horizon	Action	Owner (role)	KPI	Gate
Days 15 to 45	Sign 40 pilot Drop sites: hostel gates, PG lobbies, office desks	City heads (four)	Sites signed, host fee	40 signed by day 45
Days 30 to 90	Run pooled Drop runs at lunch and dinner	Head of delivery operations	Meals per run, rider pay per hour	4 or more by day 90
Days 30 to 90	Fixed menus with 15 kitchen partners per city	Supply lead	Commission, refund rate	15% commission, 1% refunds
Days 60 to 120	Launch Toing Pass at ₹49 a month	Product lead	Pass share, orders per pass holder	20% of active users
Day 180	Month-6 gate: Board review	CFO and Toing lead	Runs of 6 or more, contribution at least −₹5, trade-down at most 26%	Continue or shut
Days 180 to 365	Expand Drops to 150 sites in four cities if the gate passes	COO	Orders per day, contribution	Contribution at least +₹3 by month 12
Day 365	Month-12 review	CEO and CFO	Toing orders, migration, contribution	Expand, hold or sunset

16.2 Text Gantt (quarters from October 2026)



16.3 Budget and cash view (₹ Cr, base path)

Line	Year 1	Year 2	Year 3
Toing orders a day (lakh) A41	1.8	2.8	4.0
Blended contribution per order (₹)	−2.5	+5.7	+5.7
Paid installs A41	20	20	20
Overheads A41	15	15	15
Net result after trade-down and migration credit	−56	+17	+39
Cumulative	−56	−39	0

The cumulative line ends at about zero over three years (+₹1 Cr in the model) and the run rate turns positive in year 2 [M, `paths`]. Peak cash at risk is about ₹56 Cr, or about 0.4% of Swiggy's ₹14,367 Cr cash balance at the end of Q1 FY27 S01.

16.4 Dependencies that sit outside Swiggy's control

Dependency	Who decides	If it goes wrong
Host sites accept a ₹4 fee and a pickup shelf	Hostel wardens, PG owners, office managers	Use campus canteens and Swiggy-owned lockers as fallback
Restaurants accept 15% commission and a fixed menu	Restaurant partners (a significant minority already reach half of Swiggy volume through Toing S01)	Lift only for partners above a volume threshold
Students accept a 45-minute order-ahead window and a walk	Customers	The four-city A/B test will show the accepted share (section 10.4)
Rider supply on Drop runs	Riders	Pay ₹125 an hour against ₹80 solo M, the reason Drops attract riders

17. Risk register: twelve risks, each paired with one mitigation and one early signal

Answer. The largest risks are rider supply at Drops, restaurants refusing the commission uplift, and a price war started by Rapido Ownly. All three have a mitigation Swiggy controls and an early signal that shows up in its own logs within 90 days. Scores are probability (P) and impact (I) on a 1 to 5 scale, with severity as P times I; they are team judgments, labelled as such.

17.1 Risk register

#	Risk	P	I	Sev.	Mitigation (paired)	Early signal
R1	Riders decline Drop runs because runs feel like unpaid waiting	3	4	12	Pay per run with a floor equal to solo pay for a run of 4 (₹77 vs ₹80 an hour at 4 meals, ₹125 at 10) M	Run acceptance under 80%
R2	Restaurants refuse the 3-point commission uplift	3	4	12	Offer volume, not price: fixed menus raise per-restaurant orders; apply the uplift only above a volume threshold	Partner opt-outs above 15%
R3	Rapido Ownly enters Pune with a 0% commission and ₹30 fee	4	3	12	Compete on trip cost, not commission: Drops and batching lower cost to serve, and the door fee already prices the trip S08	Ownly launch in Pune, Toing daily orders down over 10%
R4	Trade-down: core ₹700 users switch to ₹99 orders	3	4	12	Separate app plus minimum-basket rule for core-app users plus a holdout cohort test; flip point 26% M	Holdout cohort trade-down above 20%

#	Risk	P	I	Sev.	Mitigation (paired)	Early signal
R5	Eternal copies Drops through Zomato Now pods and Gold thresholds	3	3	9	Lock host sites with 12-month agreements; move first to hostel and PG clusters where pods do not reach	Eternal pilots in Pune or Delhi NCR campuses
R6	Students refuse a 45-minute order-ahead window or a walk	3	3	9	The A/B test (section 10.4) sets the size of the Drop share; keep door orders as the fallback	Drop share of orders under 30% at month 3
R7	Regulatory fee creep: Code on Social Security rules or state cess rise	3	2	6	Model shows about 0.4 to 0.9% of a ₹99 basket [M, T11]; pass through via the door fee	New state law with per-order cess above ₹1
R8	Food safety and hygiene at unattended Drop shelves	2	4	8	Sealed, tamper-evident packaging; hosted, not unattended; FSSAI-compliant kitchen partners	Complaint rate above core app by 2x
R9	Brand dilution: Swiggy is seen as a "cheap" brand	2	3	6	Keep Toing as a separate app and brand; no Toing marks in the core app	Core-app NPS drop above 2 points in Toing cities
R10	Data privacy at Drop sites (order names, pickup lists)	2	3	6	Pickup by code, not by name; DPDP-aligned consent notice	Any privacy complaint at a host site
R11	Execution slip on 40 pilot sites in 45 days	3	3	9	City heads own site targets; fall back to canteen and locker sites; weekly review	Fewer than 25 sites signed by day 45
R12	Loss of the customer if the door fee is too high	3	3	9	Test ₹10, ₹15, ₹20 in cohorts; flip point is ₹16.6 so the fee must stay above it on average M	Door orders down over 20% after fee

17.2 Risk heat map

Impact / Probability	P2	P3	P4
I4	R8	R1, R2, R4	
I3	R9, R10	R5, R6, R11, R12	R3
I2		R7	

17.3 Pre-mortem: why Toing fails in twelve months

Failure story	Root cause	What we would have seen earlier
"Runs never filled"	Drop sites signed but unused	Meals per run under 4 at month 3
"Restaurants left"	Commission uplift applied to everyone	Opt-outs above 15% at day 60
"Core users switched"	No fence, no holdout	Trade-down above 20% in the holdout
"Ownly undercut us"	Only price, not trip cost, was defended	Toing orders down over 10% after Ownly's Pune launch

18. Anticipated judge and Board questions: twenty answers with numbers

Answer. The twenty questions below are the hardest we expect on unit economics, decision quality, insight, competition and regulation. Each answer is two to four sentences and uses only figures already sourced above. Questions are reported speech: "The panel will ask" introduces each.

Unit economics

1. *The panel will ask: how do you know a rider trip costs ₹40 on a ₹99 order?* We do not know it exactly. The case says rider pay is roughly the same for a ₹79 thali and a ₹700 dinner C01; public rider guides put base pay at ₹20 to ₹35 an order before distance and incentives S11. We use ₹40, and the flip point is ₹42.4, so we show the result at ₹32 to ₹48: +₹139 Cr to −₹138 Cr over three years M.
2. *The panel will ask: why is the contribution of a ₹99 order −₹27 when Swiggy says its food segment earns 7.6%?* Because 7.6% of a ₹700 order is ₹53 and the trip cost is nearly the same, while revenue at ₹99 is ₹23 against about ₹166 at ₹700. The model reproduces the 7.6% at ₹700 by calibration and applies the same cost logic at ₹99 [M, T1].
3. *The panel will ask: is the ₹81 Cr quarterly loss on Toing real?* It is our estimate from Platform Innovations' ₹131 Cr loss less ₹50 Cr for other businesses, checked against Swiggy's statement that spend is "largely on new user acquisition". Our split is two-thirds orders and one-third installs; if the split is reversed, the recommendation holds because both parts fall under the rebuild [Est, S01].
4. *The panel will ask: what is the breakeven basket?* About ₹363 at today's Toing terms, from the model run in section 5. Below that a solo trip loses money; the rebuild lowers the effective trip cost so a ₹99 order breaks even at 3.3 meals per run M.
5. *The panel will ask: the case says AOV is ₹700 but public data imply about ₹500. Does that change your answer?* The case governs, so slides use ₹700. At ₹500 core EBITDA is ₹15.5 an order rather than ₹21.7, and one Toing order erases the EBITDA of about 1.8 core orders, which strengthens the case for fixing the trip [M, A13].

Decision quality

6. *The panel will ask: Rebuild beats Kill by only ₹41 Cr. Why not shut it?* On money alone the two are close. Rebuild keeps 2 in 3 new-or-dormant users, a separate price point that fences the core, and an option worth +₹135 Cr in the bull case, while the month-6 gate limits the downside near the ₹56 Cr of year-one loss [S01, M].
7. *The panel will ask: why not scale it with free delivery, as management is doing?* Scaling costs −₹1,744 Cr over three years because each extra ₹99 order adds a ₹27 loss and volume rises to 6.5 lakh orders a day [M, T6]. The case's own lens says the loss has to be justified by acquisition, and it is not (question 9).
8. *The panel will ask: why a separate app and not the 99 Store inside the main app?* A separate app is the fence: it keeps ₹700 users from trading down and lets Toing run different commissions and menus. Swiggy already says the two products are distinct and that some inter-play is hard to predict S01.
9. *The panel will ask: is the funnel not simply a marketing cost?* It is, and it is nine times dearer than paid marketing per migrated user: ₹4,485 against a ₹500 CAC at a 15% migration rate. The case's lens needs 135% migration, which is impossible; the more generous lifetime-value lens needs 25% [M, T5].
10. *The panel will ask: what did Snacc teach you?* Snacc bought speed with cost (a solo trip per snack in micro-kitchens) and was shut within a year; Swiggy says the category was too small for the complexity S01, S07. Toing repeats the cost structure at a low price, which is why we change the trip rather than the price.

Insight and primary research

11. *The panel will ask: why no survey?* Time and the case's rule that non-public data cannot be sought from Swiggy or Eternal staff [C: rule R1] made a fieldwork instrument the wrong use of the hours available. The answer rests on trip arithmetic that does not depend on stated preferences, and the behavioural inputs it does need are stress-tested across their full plausible range [Section 10].
12. *The panel will ask: what would primary data change?* The size of the win, not the direction. Moving Drop share from 20% to 80% moves the three-year result for Rebuild from −₹25 Cr to +₹27 Cr, while Rebuild stays ahead of Scale and Funnel at every value tested [M, T10].
13. *The panel will ask: is the ₹346 versus ₹486 bill representative?* It is one public bill, used only to show the fee structure, not as a sample. The model uses the ₹12 platform fee and no delivery fee as Swiggy has disclosed them S03.
14. *The panel will ask: what is the insight Swiggy's own team does not have?* That the loss is in the trip, not the price, and that a run of 10 meals turns −₹23 into +₹7 an order; that the funnel's 9.0x cost premium follows from the trip cost; and, from Swiggy's own disclosures, how much of Toing's audience already uses Swiggy or Zomato S01.

Competition and regulation

15. *The panel will ask: what will Eternal do?* Its best reply is to hold back while Toing loses money and copy the pickup idea through Zomato Now pods and Gold free-delivery thresholds; its CFO has said it is not convinced Toing solves a clear problem [S06, CR02].
16. *The panel will ask: is Rapido Ownly the bigger threat?* Yes. It runs zero commission with a ₹30 trip fee, 50,000 to 60,000 orders a day in Bengaluru, and plans Pune S08. That model puts the trip cost on the customer, which supports our door fee; the risk is a lower fee war, so we track the flip point of ₹16.6.
17. *The panel will ask: what do the labour codes do to Toing?* The Code on Social Security levy is about ₹0.35 an order on a revenue basis and up to ₹1.74 on customer-paid turnover, plus a Karnataka fee capped at ₹0.50 in Bengaluru; together 0.4 to 0.9% of a ₹99 basket, an order of magnitude below the trip problem [M, T11].
18. *The panel will ask: is GST on delivery a problem?* Delivery fees carry 18% GST since 22 Sep 2025; on a ₹20 door fee that is ₹3.05, already inside the model's net fee [S10, M].

Execution

19. *The panel will ask: what if students will not walk to a Drop?* The Drop share falls, and the result falls slowly: at 20% Drop share three-year value is −₹25 Cr against +₹1 Cr at 50%, so the door path (batched pairs and a fee) carries the base [M, T10].
20. *The panel will ask: how will Swiggy know in twelve months whether the call was right?* Three numbers: meals per Drop run (at least 6 at month 6), blended contribution per order (at least +₹3 at month 12), and trade-down in a core holdout (at most 26%). Any miss at month 6 triggers a shutdown review [Section 15.3].

Appendix A: Bibliography

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- **S13** IIFL (2022) To cut costs, Dunzo encouraging users to choose the 60-minute delivery option. Available at: https://www.indiainfoline.com/news/markets/to-cut-costs-dunzo-encouraging-users-to-choose-the-60-minute-delivery-option (Accessed: 29 September 2026)
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Appendix B: Model tables

Generated by `model/toing_model.py` and `model/make_tables.py` on 29 September 2026.

T1 Per-order stack today, ₹ (Toing ₹99 vs core ₹700)

Line	Toing ₹99	Core ₹700
Customer pays	116.0	700.0
Restaurant keeps (after commission, GST on commission, ads)	84.0	n/a
Swiggy revenue	23.0	166.3
Rider pay	−40.0	−42.0
Insurance	−1.0	−1.0
CoSS contribution	−0.3	−2.1
Payments	−1.0	−6.3
Support and refunds	−3.0	−10.7
Coupons	−4.0	−22.0
Tech	−1.0	−1.0
Contribution	−27.3	53.2
Overheads	n/a	−31.5
Adjusted EBITDA	n/a	21.7

T2 Lever bridge, contribution per ₹99 order, ₹

Lever	Who controls	Change	After
Today			−27.33
Slot batching of door orders	Swiggy	+7.20	−20.13
Pooled Drops (pickup runs)	Swiggy + Drop host	+9.70	−10.43
Door fee outside Drops	Customer	+8.26	−2.18
Fixed menus, kitchen partners	Restaurants	+3.42	1.24
Ad load 1% to 2.5%	Restaurants	+1.46	2.71
Everyday low price, fewer coupons	Swiggy + restaurants	+2.00	4.71
Toing Pass Rs 49 a month	Customer	+1.02	5.73

T3 Density curve, ₹ per Drop order

Meals per run	Rider cost per meal	Contribution
1	40.0	−23.4
2	23.0	−6.4
3	17.3	−0.8

Meals per run	Rider cost per meal	Contribution
4	14.5	2.1
5	12.8	3.8
6	11.7	4.9
7	10.9	5.7
8	10.2	6.3
9	9.8	6.8
10	9.4	7.2
11	9.1	7.5
12	8.8	7.7
13	8.6	8.0
14	8.4	8.1
15	8.3	8.3

T4 Triangulation of Toing's quarter

Item	Value
t_rev_q	56.00
t_loss_q	−81.00
rev_per_order	25.77
contrib_per_order	−25.16
orders_q_cr	2.17
orders_lakh_day	2.39
contrib_loss_q	−54.67
acq_q	−26.33
acq_share	0.33
contrib_share	0.67
acq_per_download	−18.16
annual_loss	−324.00
pct_of_food_ebitda	27.74
pi_pct_of_food_ebitda	44.86

T5 Funnel

Horizon (months)	Cost per user ₹	Migration needed, CAC lens %	LTV lens %
12	451	135	25
24	506	151	28
36	514	154	29

Loss a month per user ₹68; core LTV ₹2,688; cost per incremental user ₹4,485; 9.0x paid CAC.

Migration needed (%) by paid CAC and incremental share

CAC ₹	33% new	50%	67%	100%
400	341	225	168	113
500	273	180	135	90
700	195	129	96	64
900	152	100	75	50

T6 Three-year paths, ₹ Cr

Scenario	Path	Y1	Y2	Y3	Total
bear	Scale as it runs	−486	−563	−624	−1,673
bear	Funnel (CAC credit)	−355	−355	−355	−1,065
bear	Funnel (LTV credit)	−304	−304	−304	−913
bear	Kill	−88	24	24	−40
bear	Rebuild	−73	−26	−22	−121
bear	Rebuild, gate fails	−49	24	24	−2
base	Scale as it runs	−514	−588	−642	−1,744
base	Funnel (CAC credit)	−380	−380	−380	−1,140
base	Funnel (LTV credit)	−317	−317	−317	−950
base	Kill	−88	24	24	−40
base	Rebuild	−56	17	39	1
base	Rebuild, gate fails	−41	24	24	7
bull	Scale as it runs	−537	−606	−651	−1,794
bull	Funnel (CAC credit)	−401	−401	−401	−1,204
bull	Funnel (LTV credit)	−325	−325	−325	−976
bull	Kill	−88	24	24	−40

Scenario	Path	Y1	Y2	Y3	Total
bull	Rebuild	−36	64	107	135
bull	Rebuild, gate fails	−31	24	24	16

T7 Decomposition of the gap, Rebuild vs Scale (base), ₹ Cr

Component	₹ Cr
order_losses	1,200
acquisition	390
overhead	15
tradedown	178
migration	−39
total	1,745

T8 Tornado on blended contribution per order (base 5.73)

Driver	Low case	High case
Rider pay per solo trip (48 / 32)	1.5	9.9
Door fee outside Drops (10 / 30)	1.6	9.9
Base commission (0.09 / 0.15)	2.8	8.7
Door orders batched (0.3 / 0.8)	3.9	6.9
Drop host fee (7 / 2)	4.2	6.7
Orders per Drop run (5 / 14)	4.0	6.2
Share of orders at Drops (0.3 / 0.7)	5.2	6.3

T9 Flip points (Rebuild equals Kill over 3 years)

Input	Flip value
T_RIDER	42.378
RUN_N	5.509
CANNIB	0.26
T_COMM	0.108
DROP_SHARE	0.02
DOOR_FEE	16.644
T_FEES_CUST	10.538

T10 Stress tests: 3-year totals ₹ Cr (Rebuild R, Scale S, Funnel with LTV credit F, Kill K)

Input	Value	R	S	F	K	R beats S and F
DROP_SHARE	0.2	-25	-1744	-950	-40	True
DROP_SHARE	0.35	-12	-1744	-950	-40	True
DROP_SHARE	0.5	1	-1744	-950	-40	True
DROP_SHARE	0.65	14	-1744	-950	-40	True
DROP_SHARE	0.8	27	-1744	-950	-40	True
T_RIDER	32	139	-1744	-740	-40	True
T_RIDER	36	70	-1744	-845	-40	True
T_RIDER	40	1	-1744	-950	-40	True
T_RIDER	44	-69	-1744	-1055	-40	True
T_RIDER	48	-138	-1744	-1160	-40	True
T_COMM	0.08	-122	-1744	-1052	-25	True
T_COMM	0.1	-60	-1744	-1001	-34	True
T_COMM	0.12	1	-1744	-950	-40	True
T_COMM	0.15	93	-1744	-873	-48	True
T_COMM	0.18	184	-1744	-796	-55	True
CANNIB	0.0	72	-1494	-830	-106	True
CANNIB	0.1	37	-1619	-890	-73	True
CANNIB	0.2	1	-1744	-950	-40	True
CANNIB	0.3	-35	-1869	-1010	-8	True
CANNIB	0.4	-71	-1994	-1070	25	True
NEW_TO_CAT	0.2	-36	-1808	-1114	-40	True
NEW_TO_CAT	0.4	-20	-1781	-1044	-40	True
NEW_TO_CAT	0.67	1	-1744	-950	-40	True
NEW_TO_CAT	0.8	11	-1727	-904	-40	True
NEW_TO_CAT	1.0	26	-1700	-835	-40	True
CAC_PAID	400	-10	-1762	-950	-40	True
CAC_PAID	500	1	-1744	-950	-40	True
CAC_PAID	700	22	-1708	-950	-40	True
CAC_PAID	900	42	-1672	-950	-40	True
CAC_PAID	1200	73	-1618	-950	-40	True

Input	Value	R	S	F	K	R beats S and F
T_FEES_CUST	0	-310	-1744	-1210	2	True
T_FEES_CUST	6	-155	-1744	-1080	-24	True
T_FEES_CUST	12	1	-1744	-950	-40	True
T_FEES_CUST	18	156	-1744	-820	-51	True
T_FEES_CUST	25	338	-1744	-668	-60	True
RUN_N	4	-75	-1744	-950	-40	True
RUN_N	6	-33	-1744	-950	-40	True
RUN_N	8	-12	-1744	-950	-40	True
RUN_N	10	1	-1744	-950	-40	True
RUN_N	12	9	-1744	-950	-40	True
MIGRATE_12M	0.05	-34	-1804	-1105	-40	True
MIGRATE_12M	0.1	-16	-1774	-1028	-40	True
MIGRATE_12M	0.15	1	-1744	-950	-40	True
MIGRATE_12M	0.25	35	-1684	-794	-40	True
MIGRATE_12M	0.35	70	-1624	-639	-40	True

T11 Regulatory cost per order, ₹

Item	Toing ₹99	Core ₹700
CoSS contribution (1.5% of revenue, cap 5% of rider pay)	0.35	2.10
Karnataka fee (cap)	0.50	0.50
As % of basket	0.85	0.37
CoSS if levied on customer-paid turnover (upper bound)	1.74	n/a

Appendix C: Assumption register

IDs and bases as commented in `model/toing_model.py`. A15 stands for the GST rates and A16 for the Karnataka fee cap, which are public inputs shown in the model header.

ID	Inputs	Basis
A01	T_AOV	item total; case title and C02 band; P2 may update
A02	T_COMM	commission on Toing (core 17 to 25%; Swiggy: commissions "need to be different")
A03	T_FEES_CUST	platform fee incl. GST; no delivery or packaging fee (MediaNama, Sep 2025); P1 may update

ID	Inputs	Basis
A04	T_ADS	ads as % of item total (new app, thin ad load)
A05	T_RIDER	rider payout incl. incentives per order (base Rs 20 to 35 + distance; C01)
A06	INS	rider insurance per order
A07	PG	payment processing, % of customer-paid total (UPI heavy)
A08	SUP_FIX, REF_PCT	support per order + refunds % of item total
A09	T_DISC	platform-funded discount per order; P1 may update
A10	TECH	maps, SMS, cloud per order
A11	T_AOV_MIX	Toing mix item total (meals mostly Rs 100 to 150) used for triangulation
A12	OTHER_PI_LOSS_Q	Platform Innovations loss excluding Toing, per quarter
A12	OTHER_PI_REV_Q	Platform Innovations revenue excluding Toing (Q4FY26 level)
A42	P_DENSITY	probability the 6-month density gate is passed (used only for the option value)
A43	RUN_MIN	minutes per Drop run (kitchen cluster pickup, one hand-off)
A44	SOLO_ORDERS_HR	solo door deliveries a rider completes per hour

Appendix D: Glossary

Term	Meaning
AOV	Average order value: gross order value divided by completed orders
GOV	Gross order value: value of completed orders including fees, taxes and packaging, before discounts
Contribution margin	Revenue less variable costs of an order, before overheads
Adjusted EBITDA	Earnings before interest, tax, depreciation and amortisation, adjusted as Swiggy defines it
Take rate	Swiggy revenue as a share of GOV
Toing	Swiggy's standalone app for meals from ₹49 to ₹150, launched August 2025
Snacc	Swiggy's 10 to 15-minute snacks app, launched January 2025, shut February 2026
Drop	A pickup point (hostel gate, PG lobby, office desk) served by a pooled rider run
Run	One rider trip that collects several meals for one Drop
Slot batching	Grouping two door orders into one trip inside a delivery window
Door fee	Fee charged when a Toing order is delivered to the door instead of a Drop
Toing Pass	Proposed ₹49 a month subscription for free Drop delivery

Term	Meaning
CAC	Customer acquisition cost: spend to acquire one new transacting user
LTV	Lifetime value: contribution a user generates over a horizon
Migration	A Toing user who begins placing ₹700-type orders on the core app
Trade-down	A core-app order replaced by a cheaper Toing order
Incremental share	Share of Toing users who are new to Swiggy or dormant
CoSS	Code on Social Security, 2020, in force 21 November 2025
Platform Innovations	Swiggy's segment that houses Toing and other early-stage products
MTU	Monthly transacting users
WAU	Weekly active users
EDLP	Everyday low price: fixed low prices in place of coupons
NOV	Net order value: gross order value less discounts
Instamart	Swiggy's quick-commerce business
Eternal	Formerly Zomato, the market leader in food delivery
Rapido Ownly	Rapido's zero-commission food delivery service
Bolt	Swiggy's faster food delivery proposition inside the core app
99 Store	Swiggy's flat-price value offer inside the core app
Flip point	Value of one input at which the rebuild and a shutdown have equal three-year results
Gate	A pre-set metric threshold at which the Board continues or shuts Toing
Tornado	Chart ranking inputs by the swing they cause in a result
Kill, Scale, Funnel, Rebuild	The four paths compared: shut Toing; grow it as it runs; run it as an acquisition funnel; rebuild it around the trip

Appendix E: Data conflicts and resolutions

Topic	Conflict	Resolution
Core AOV	Case says about ₹700; Q1 FY27 figures imply about ₹500	Case figure used on slides; conclusion tested at ₹500 (EBITDA ₹15.5 an order)
Toing footprint	Case: starting in Pune; Swiggy letter: about 50 cities	Case framing kept for the order economics; public scale cited as public
Toing loss split	Swiggy: spend "largely" on acquisition; our triangulation: two-thirds per-order	Shown as an estimate with a sensitivity grid in section 6
Eternal margin basis	Eternal reports adjusted EBITDA on NOV (5.6%), Swiggy on GOV (3.1%)	Not compared directly; noted in section 13

Topic	Conflict	Resolution
CAC	Analyst ranges ₹400 to ₹500 (Swiggy); snippet-only sources	Tested across ₹400 to ₹1,200; conclusion unchanged